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**Cost-effective Active Labour
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employment and social
outcomes**

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Cost-effective Active Labour Market Policies: Considering employment and social outcomes

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Abstract

While the primary purpose of Active Labour Market Policies (ALMPs) is to improve labour market outcomes, these policies are increasingly expected to additionally address social barriers that hinder labour market integration of those furthest from work. All such effects need to be taken into account to evaluate the effectiveness and cost-effectiveness of ALMPs credibly and comprehensively, and thus guide investments into ALMPs in the context of increasing fiscal pressures across the OECD and the EU. This paper maps the integration of social outcomes goals into ALMPs across OECD and EU countries. It reveals significant gaps in countries' capacity to link data on social outcomes with data from unemployment registers, systematically monitor and conduct counterfactual impact evaluations (CIE) and comprehensive cost-benefit analyses (CBA) considering social outcomes. Strengthening data infrastructure and expanding CIE and CBA to include social outcomes are essential to better understand the full value of ALMPs and support evidence-based policymaking.

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Executive summary

While the primary purpose of Active Labour Market Policies (ALMPs) is to improve access to employment, these policies are increasingly expected to address additionally the wider social barriers preventing those furthest from the labour market from securing stable and good-quality jobs. As fiscal pressures tighten across the OECD, countries need comprehensive evidence on which programmes deliver the greatest value for money, not only in terms of employment and earnings, but also through broader social benefits. Yet monitoring and evaluation practices, when carried out, remain largely focused on labour market outcomes and have not kept pace with the broadening ambitions and potential role of ALMPs.

This paper presents a cross-country overview of ALMPs that pursue social objectives alongside employment goals, the data countries use to monitor and evaluate social outcomes of ALMPs, and the approaches underpinning comprehensive cost-benefit analysis (CBA). It draws on responses to a dedicated questionnaire completed by OECD and EU countries in the second half of 2025.

The analysis shows that social objectives are now widely embedded in ALMP design. The mapping exercise identified more than 200 ALMPs with explicit social objectives across 37 OECD and EU countries in 2025, targeting in particular the long-term unemployed, persons with disabilities and young people, but also migrants, low-skilled and older workers, and individuals facing health problems, addictions or care responsibilities. Strengthening jobseekers' sense of agency, including motivation, self-confidence and autonomy, emerges as the most common social objective, while mental and physical health are more often addressed through specialised interventions.

Despite the broad range of social objectives pursued by ALMPs, monitoring and evaluation remain heavily skewed towards employment outcomes. While more than half of OECD and EU countries routinely conduct counterfactual impact evaluations (CIEs) of employment outcomes, only around one in ten do so for social outcomes. Roughly half of countries routinely link administrative data on health, education or migration to unemployment registers, while less established outcomes, such as social participation, remain particularly difficult to capture. Where evidence does exist, ALMPs generally show positive effects on social skills and quality of life, although impacts vary across target groups and intervention types.

Accounting for these broader effects is essential when assessing the value for money of ALMPs, through comprehensive CBAs. Nevertheless, such CBAs remain relatively rare across responding countries, with only 20% of countries reporting having dedicated CBA frameworks for ALMPs, and fewer than one in five conducting CBAs regularly. Countries most frequently cite gaps in data coverage and quality, particularly regarding non-monetary outcomes (e.g., health) and the costs of delivering ALMPs, as well as methodological challenges, as the main barriers to conducting CBAs.

Four priorities stand out to address these gaps: (i) integrating social outcomes more systematically into monitoring and evaluation frameworks of ALMPs; (ii) strengthening data interoperability and inter-institutional co-operation to better leverage administrative data; (iii) developing dedicated methodological frameworks for the CBA of ALMPs; and (iv) improving the collection of ALMP cost data. These aspects are at the core of a new EC-OECD project on counterfactual impact evaluation of ALMPs, which aims to broaden the traditional scope of evaluation, promote the use of CBA to assess cost-effectiveness, and support countries in strengthening data collection, data linkage, evaluation frameworks and evidence-informed policymaking.

1 Introduction

Active Labour Market Policies (ALMPs) aim to enhance matching of jobseekers with vacancies and improve employment opportunities for people facing difficulties entering or remaining in the labour market. They focus primarily on achieving employment-related outcomes, such as job placement, skills development and labour market integration. While these objectives remain central, ALMPs are increasingly expected not only to improve employment prospects, but also to address a wider range of social challenges faced by jobseekers, inactive people and people at risk of job loss. To reliably guide investments into ALMPs, all these different effects need to be accounted for in the evaluations of effectiveness and cost-effectiveness of ALMPs. The need to strengthen such comprehensive evaluations is increasingly important across OECD and EU countries in the context of tightened fiscal resources.

The need to address social outcomes through ALMPs is reinforced by broader structural trends. Demographic changes and persistent labour and skills shortages have increased the urgency of supporting the labour market integration of underrepresented groups and mobilise their untapped potential (OECD, 2025^[1]; European Commission, 2025^[2]). For people facing multiple barriers and disadvantages, employment outcomes are often not sufficient for assessing their short-term progress as it may take longer for them to find a job and retain it. Moreover, for these groups, participation in ALMPs can serve as a stepping stone to further participation in other, perhaps more intensive, programmes (OECD/Department of Social Protection, Ireland/EC-JRC, 2024^[3]). Therefore, recognising interim social outcomes, such as improved self-confidence and autonomy, social participation and social skills, health and well-being, is essential for supporting groups further from the labour market. Strengthening these outcomes and recognising progress along these social dimensions can increase participants' engagement in ALMPs, reduce dropout rates and support transitions into work that are more stable and long-lasting.

Beyond traditional employment outcomes, ALMPs often generate additional social benefits (OECD, 2021^[4]). These benefits include improvements in individual outcomes, such as self-confidence, social participation, health and well-being, as well as wider societal impacts, including reductions in crime rates, higher educational attainment for children, and lower early school dropout rates. To comprehensively understand and evaluate ALMPs, it is therefore crucial to consider not only employment-related impacts but also their broader effects on social outcomes.

Beyond the need to address labour shortages and boost employment in a cost-effective manner, social outcomes matter in their own right. There is a growing recognition that long-term unemployment and inactivity can generate a range of social challenges that, if unaddressed, can undermine individual health and well-being. Prolonged detachment from the labour market is associated with loss of motivation and confidence, social isolation, deteriorating mental and physical health, and increased vulnerability to poverty, stigma or other forms of social exclusion. These risks are particularly acute for people who are furthest from the labour market – those with limited work experience, low skills and qualification, unstable living conditions, health problems, care responsibilities or a combination of these. For such groups, barriers to employment stem as much from social and personal circumstances as from labour market conditions.

Against this backdrop, many countries have developed ALMPs that, in addition to their main employment objectives, explicitly seek to strengthen participants' autonomy, motivation, social inclusion, health and well-being to facilitate their labour market integration. While governments have long evaluated ALMPs

primarily in terms of their impact on finding a job and the quality of employment, much less is known about their broader social impacts.

This paper maps ALMPs with explicit social objectives across OECD and EU countries, discusses available data on jobseekers' social characteristics, and reviews current practices and challenges in conducting counterfactual impact evaluations (CIE) of social outcomes and cost-benefit analysis (CBA). The paper aims to support countries in strengthening evidence generation on the effectiveness and cost-effectiveness of ALMPs by integrating broader social outcomes into conventional evaluation frameworks that primarily focus on employment outcomes.

This paper is the first output of the new [EC-OECD project](#) (2025-28) on CIEs of ALMPs. The project builds on the long-standing co-operation of the OECD and the European Commission's Directorate General for Employment, Social Affairs and Inclusion (DG EMPL) to support countries in developing and integrating evaluation mechanisms in their policymaking to promote policy effectiveness. This project aims to extend the scope of CIEs by examining the impacts of ALMPs on social outcomes and by supporting governments in applying CBA to promote cost-effective policies.

The paper draws extensively on the valuable contributions of countries through their responses to the questionnaire on ALMPs with social objectives, CIE and CBA.¹ The information provided by the countries in the second half of 2025 offers crucial insights into the current state of play, promising practices and challenges that Public Employment Services (PES)² face in defining, collecting data on, monitoring and evaluating social outcomes of ALMPs and conducting CBA.

Considering social outcomes is relevant for all ALMPs, but they are particularly important for programmes that explicitly pursue social objectives. It is important to distinguish such policies both from mainstream ALMPs that focus primarily on employment outcomes and from broader social policies that pursue social goals but are not ALMPs per se. Therefore, the analysis conducted in this paper covers ALMPs as defined in the Labour Market Policies (LMP) Database of the [European Commission](#) and the [OECD](#).³ ALMPs with explicit social objectives are understood as programmes that target people furthest away from the labour market – due to social, psychological or other difficulties – and, alongside employment goals, explicitly aim to improve their non-labour social outcomes. These outcomes refer to individual-level changes that improve participants' ability to participate fully in society, such as improvements related to self-confidence, motivation, autonomy, social participation, mental and physical health, and other personal or social capabilities that go beyond employment or income gains. Strengthening these intermediate social outcomes can be a critical stepping stone towards successful and sustainable labour market integration (OECD, 2021^[4]).

It is important to acknowledge that identifying such policies in a comparable manner across countries is challenging due to differences in national definitions, institutional frameworks, data availability, and the fact that some degree of judgement is required to distinguish between explicit and implicit social objectives. These limitations should be kept in mind when interpreting the comparative findings presented in this paper.

The remainder of the paper is structured as follows. Section 2 offers a comparative overview of ALMPs with social objectives across EU and OECD countries. Section 3 discusses assessment of jobseekers' social characteristics and outcomes by PES and examines the availability of administrative and survey data for measuring social outcomes held by external institutions. Section 4 focuses on monitoring and evaluation of social outcomes of ALMP participants. Section 5 reviews current practices and challenges in conducting comprehensive CBA. Section 6 summarises the main conclusions of the paper.

2 Mapping ALMPs with social objectives in OECD and EU countries

The primary task of PES is to connect unemployed and inactive people as well as people at risk of job loss to good jobs, and employers to skilled staff they require (Dromundo Mokrani, Lauringson and Xenogiani, 2024^[5]). An important part of PES activities to achieve such better match between labour demand and supply concerns improving the employability and employment prospects of jobseekers. Nevertheless, many ALMPs designed to address employment objectives recognise that social objectives and outcomes often play a critical role in supporting and facilitating the pathway to employment. The extent to which such social outcomes are explicitly defined in ALMPs varies across countries, influenced by the mandate and strategic priorities of the institutions designing and implementing ALMPs but also by broader institutional frameworks, the wording used in ALMP regulations, and how these regulations are interpreted and implemented in practice.

This section provides a comparative overview of ALMPs with explicit and well-defined social objectives across OECD and EU countries.⁴ It explores the key characteristics of these programmes, including the types of ALMPs involved, the specific target groups they serve, and social objectives pursued. By highlighting the diversity of approaches across countries, this overview aims to develop a better understanding of how social objectives are incorporated within the broader framework of ALMPs.

Although accounting for social outcomes in CIE and CBA is relevant for all ALMPs, this is particularly important for programmes that explicitly pursue social objectives, as this creates a stronger need to assess whether these programmes achieve their intended goals and to demonstrate the value of the resources invested. To support comparable cross-country mapping of such policies, this section applies an operational definition of ALMPs with explicit social objectives (see Section 1). This helps to narrow down the scope and distinguish between programmes that generate social benefits as indirect effects of employment interventions, and those in which social outcomes are deliberately integrated into the programme's design, delivery, and stated aims. Without such a definitional boundary, nearly all ALMPs could be seen as having elements of social objectives, given that employment improvements alone often produce broader social gains. The aim of this mapping exercise is thus to identify and analyse policies where social objectives are clearly articulated, systematically embedded, and intentionally pursued as an integral component of the intervention. Programmes that may generate substantial social impact but do not include explicit social objectives fall outside the scope of this section.

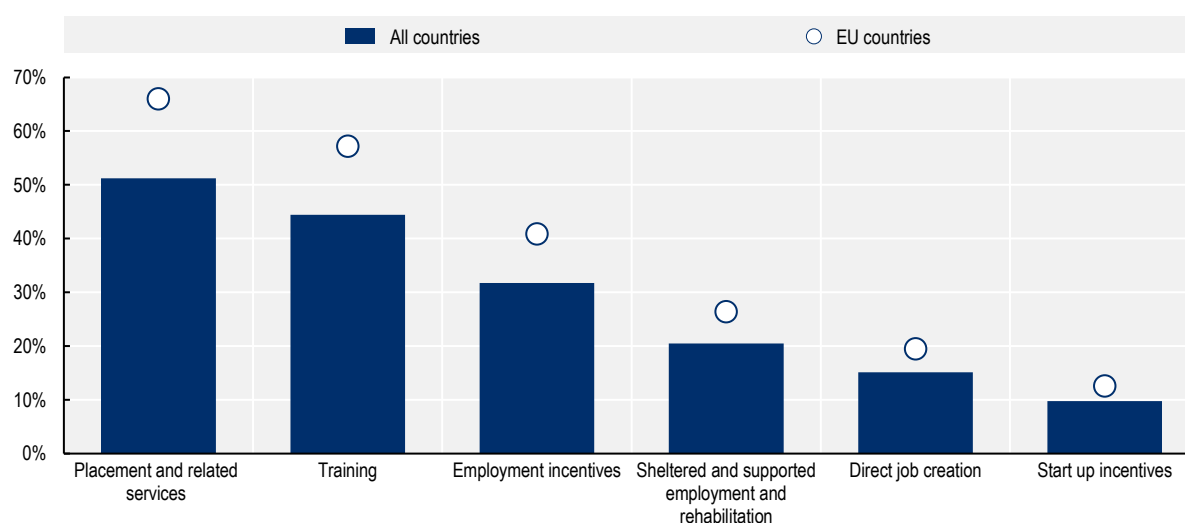
Most EU and OECD countries implement ALMPs that, in addition to employment objectives, also pursue explicit and well-defined social goals. Across 37 countries, more than 200 such programmes were identified, highlighting the widespread integration of social goals within ALMP design.

2.1. ALMPs pursue social objectives through a diverse policy mix

The mapping presented in this paper shows that countries rely on a diverse mix of ALMP types to pursue social goals (Figure 1 and Table A A.1). Many programmes (around 40%) combine several services or measures that fall into different categories of the LMP database. The relative frequency of different policy types within the pool of ALMPs with social objectives is broadly in line with the overall distribution of ALMPs, suggesting that the observed patterns largely reflect existing national ALMP frameworks and implementation practices.

Figure 1. ALMPs with social objectives span a wide range of categories of measures

Share of ALMPs with social objectives classified under each category



Note: The figure covers 37 OECD and EU countries: Australia, Austria, Belgium, Bulgaria, Chile, Colombia, Costa Rica, Croatia, Cyprus, Czechia, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, Ireland, Italy, Japan, Korea, Latvia, Lithuania, Luxembourg, Malta, Netherlands, New Zealand, Norway, Poland, Portugal, Romania, Slovak Republic, Slovenia, Sweden, Türkiye and United Kingdom. The responses for Belgium refer to policies on a federal level and in the Brussels-Capital Region. Policies are classified according to the LMP Database methodology, see the [OECD note on classification and coverage](#) or DG-EMPL Labour Market Policy Statistics [Methodology](#). Placement and related services (category 1.1) include services related to information provision, job search assistance, job matching, referrals, counselling, case management and other frontline PES services. Policies may fall into more than one category; therefore, the percentages shown do not sum to 100%.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Around half of the identified programmes offer core employment services, covering placement and related services, such as provision of information, job-search assistance, job matching, referrals, counselling and case management (employment services falling under category 1.1 of the LMP database). These services are often paired with training measures (category 2), the second most common type of intervention used to pursue social goals. This reflects a widespread approach in which PES offers guidance and counselling to jobseekers and refer them to specialised providers to help them develop the skills needed to improve their job prospects.

Employment incentives (category 4) are also frequently associated to explicit social objectives, either as stand-alone measures or as part of broader service packages, showing that many countries provide financial support to encourage employers to hire jobseekers who have difficulties integrating into the labour market and some of these measures also aim at social objectives.

More specialised measures – such as sheltered and supported employment, rehabilitation, direct job creation and start-up incentives (categories 5, 6 and 7) – appear less frequently among the ALMPs with explicit social objectives. These tools tend to target more specific groups or circumstances. Sheltered and supported employment, rehabilitation and direct job creation, while not widespread, clearly play an important role for people with significant and long-standing barriers to work. By contrast, start-up incentives, including support for self-employment, are used only occasionally, indicating that they are used for a narrower set of beneficiaries with particular aptitudes, needs and goals, for example to promote self-employment among marginalised groups or individuals with health or other constraints who require greater flexibility in work.

The distribution of policy types within ALMPs with social objectives largely reflects general patterns, suggesting that broader institutional settings and policy traditions may play a more decisive role in shaping programme design than the presence of explicit social objectives alone. It is also worth noting that some ALMPs with social objectives are designed more broadly and target not only groups further from the labour market but a wider pool of jobseekers.

2.2. ALMPs with social objectives target heterogeneous groups

Countries use ALMPs with social objectives to address a wide range of employment barriers faced by different target groups (Figure 2 and Table A A.2). The most frequently mentioned target groups include the long-term unemployed, persons with disabilities and young people (Box A B.3), reflecting persistent difficulties these groups face in integrating into the labour market and their prominence in policy priorities across many countries. Beyond these core target groups, many programmes also prioritise migrants and ethnic minorities, low-skilled and older workers, as well as people facing health issues, addictions or care responsibilities. A smaller but still significant share of programmes focus on women, including mothers with children (Australia, Greece, Hungary), women in specific age groups (Costa Rica, Czechia), women from ethnic minority backgrounds (Hungary, New Zealand), victims of domestic violence (Greece, Malta) and women residing in particular regions or working in specific sectors with pronounced gender disparities (Italy).

Notably, a large share of programmes with explicit social objectives target “other” groups (Figure 2), pointing to the heterogeneity of the relevant populations. For example, some countries target:

- People with unstable or precarious labour market attachment, such as inactive people (Bulgaria, Hungary), people at risk of (long-term) unemployment (Germany, New Zealand) or those leaving public work scheme (Hungary);
- Specific groups with limited education or skills, such as illiterate people (Belgium/Brussels), early school leavers and NEETs⁵ (Bulgaria, Estonia, Hungary, Slovenia), people with little or no work experience (Ireland) or low-performing employees (Germany);
- Recipients of benefits, such as minimum income benefits (Cyprus, France, Portugal), universal credit (United Kingdom) or broad social welfare payments (Belgium/Federal, Netherlands);
- People in precarious financial situation, including those with very low income (Italy), in financial hardship (Japan), at risk of poverty (Malta) or receiving benefits below the minimum wage (Portugal);
- People at specific life stages or household circumstances, such as parents of young children (Bulgaria), lone parents (Portugal) or young people in child protections system (Greece, Romania);
- Socially marginalised or high-risk populations, including victims of armed conflicts (Colombia), human trafficking or domestic violence (Greece, Malta, Portugal, Romania);

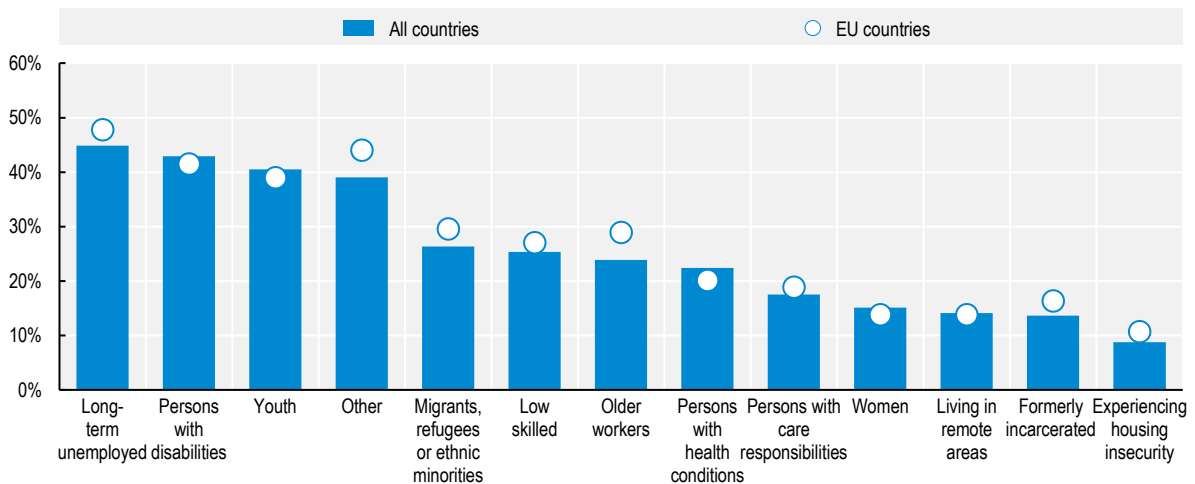
- Groups with distinct cultural or community characteristics, for example artisans preserving ancestral crafts (Chile), Roma communities (Greece), or residents of disadvantaged neighbourhoods and remote territories (France).

The diversity of the mentioned target groups shows that the eligibility criteria of ALMPs with social objectives are tailored to address highly specific circumstances or combinations of barriers, capturing a wide array of needs.

Across programmes, both narrowly targeted and broadly inclusive approaches coexist. Some measures focus on people with complex intersecting barriers and challenges, for example jobseekers experiencing overlapping medical, psychological and social difficulties (Belgium/Brussels), people with mental health challenges outside employment or education (Denmark) or people distant from the labour market with multiple disadvantages (Germany). Other countries adopt broad eligibility combined with prioritisation rules, allowing all unemployed jobseekers to participate while giving preferential access to the most vulnerable groups (Latvia, Lithuania, Poland, Portugal, United Kingdom).

Figure 2. ALMPs with explicit social objectives target a wide range of groups

Share of ALMPs with social objectives that mention these as main target groups



Note: See note to Figure 1.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

2.3. Strengthening jobseekers' sense of agency is one of the main social objectives

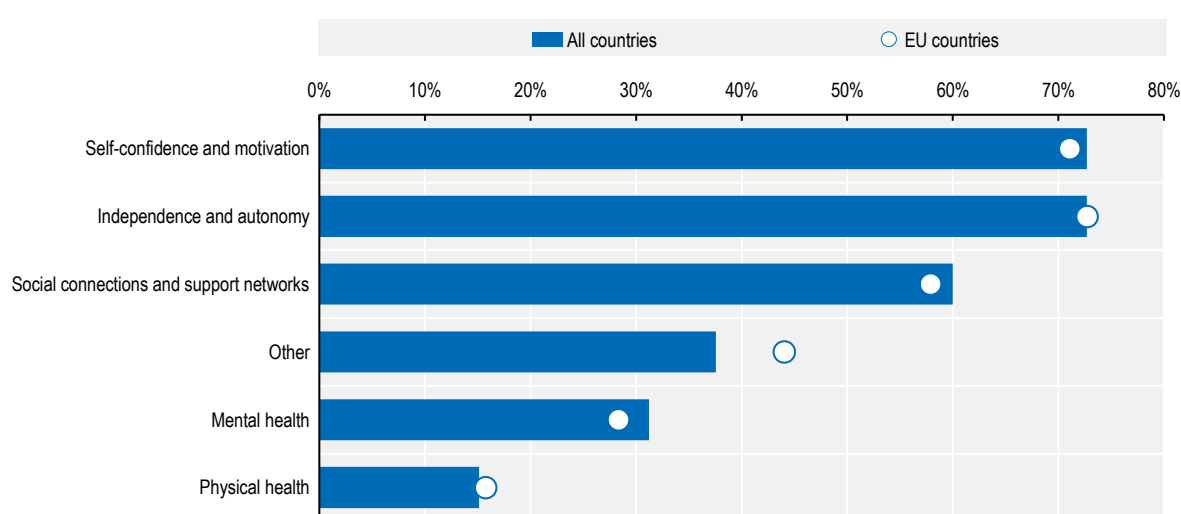
Countries most frequently identify improvements in participants' self-confidence, motivation, independence and autonomy as key social objectives pursued by ALMPs (Figure 3 and Table A A.3). This emphasis suggests that strengthening jobseekers' sense of agency is viewed as essential for enhancing their readiness for work. Enhancing social connections and support networks also emerges as one of the important policy goals, reflecting recognition that social isolation can be a major barrier to labour market participation. Mental and physical health improvements are mentioned less frequently, indicating that although health-related benefits are highly important, they tend to be relevant for more specific target groups or are pursued through more specialised interventions (Box A B.3).

A substantial share of programmes report pursuing other social outcomes that go beyond or complement these dimensions. For example, many initiatives aim to:

- Strengthen social and behavioural skills, such as transversal skills (Belgium/Brussels), relational and personal skills (Portugal), personal responsibility and ability to cope with demands of working life (Sweden) or establishing daily routine and improving social behaviour (Germany);
- Enhance social inclusion, participation and integration (Australia, Belgium, Germany, Luxembourg, Portugal, Slovenia, Sweden), for example through engaging in volunteer or other socially useful activities;
- Foster cultural integration and reduce cultural barriers (New Zealand, Portugal);
- Support physical mobility to enable participation in job search, training and work (Latvia).

Figure 3. Many ALMPs with social objectives aim to strengthen jobseekers' sense of agency

Share of ALMPs explicitly pursuing these as main social objectives



Note: See note to Figure 1.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

2.4. Some objectives fall in between social and employment goals

In addition to explicit social objectives, many ALMPs also emphasise outcomes that fall in between social and employment goals. These outcomes are typically closely linked to work or training but focus more on participants' *progress* towards employment or the development of necessary work-related skills, rather than on attainment of employment or participation in training as an end goal. These outcomes include:

- Preparing for employment and integration into the labour market, strengthening employability and employment capacity (Australia, Bulgaria, Cyprus, Finland, Germany, Greece, Italy, Korea, Lithuania, Malta, Portugal);
- Preventing long-term exclusion, loss of work capacity and scarring effects of long-term unemployment or risks of becoming NEETs (Bulgaria, Cyprus, France, Latvia, Malta, Netherlands, Norway);
- Building practical work skills and adapting to structured employment environments through work experience or alternative employment pathways, such as internships, self-employment or sheltered employment (Bulgaria, Germany, Ireland, Lithuania, Luxembourg, Malta, Norway, Portugal).

These objectives highlight that the boundary between social and employment outcomes is not always so clear-cut, and for certain target groups some objectives lie at the intersection of the two.

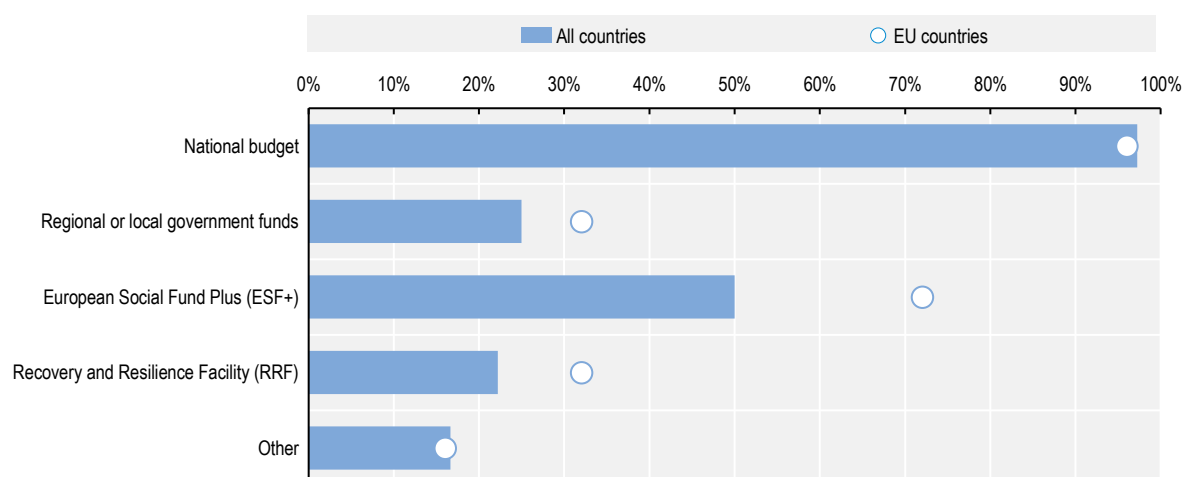
2.5. ALMPs with social objectives rely mainly on national budgets and EU funding

The majority of the identified ALMPs with explicit social objectives are governed at the national level (82%) with the remaining (18%) being governed at the subnational level (e.g. Austria, Belgium, Czechia, Finland, France, Netherlands and United Kingdom) or jointly across levels of government. However, the share of subnational policies may be underestimated in the survey as national co-ordinating bodies often face challenges in collecting and reporting information on subnational initiatives.⁶

Practically all countries rely on national budgets as one of the main sources to fund ALMPs with social objectives (Figure 4). About one in four countries also use regional or local funds, including countries with decentralised PES systems, such as Belgium, Denmark and Italy. EU funds play an important role in supporting ALMPs with social objectives: within the EU nearly three in four countries use the European Social Fund Plus (ESF+) and about one in three benefits from the Recovery and Resilience Facility (RRF). In some cases, countries outside the EU also receive some EU-funded support, for instance Iceland and Türkiye for programmes related to the integration of refugees.⁷

Figure 4. Most ALMPs with social objectives rely on national budgets and EU funds

Share of countries identifying these as main sources of funding



Note: See note to Figure 1. No information on Poland. The response for Belgium refers to the Brussels-Capital Region only. Other sources of funding include: Asylum, Migration and Integration Fund (AMIF), European Globalisation and Adjustment Fund, other projects supported by EU funds, such as the EU Facility for Refugees in Türkiye (FRIT II) and the MAAS (Match, Attach and Sustain) project in Iceland, and unemployment insurance funds.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

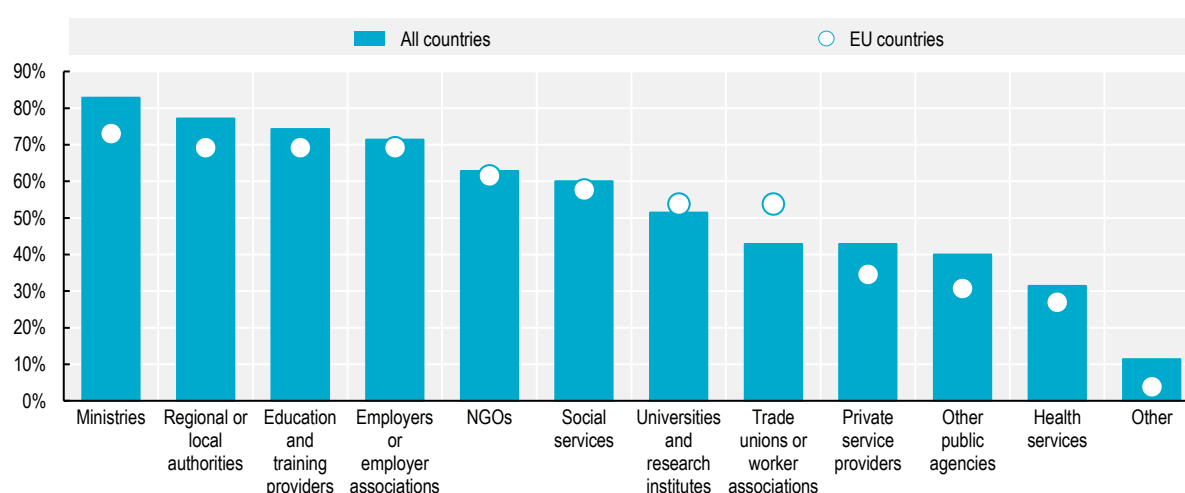
2.6. PES partnerships and specialised staff support the delivery of ALMPs with social objectives

PES typically co-operate with a wide range of partners to implement ALMPs with social objectives (Figure 5), reflecting diverse institutional setups across countries and the valuable expertise partners bring on jobseekers' needs (Lauringson and Lüske, 2021^[6]). The most frequent partners are ministries, primarily those responsible for social affairs and labour, followed by regional or local authorities, education and training providers, and employers or employer associations. These partners were mentioned by 70-80% of the countries implementing ALMPs with explicit social objectives. Co-operation with NGOs and social

services is also common (around 60%). Other relevant but less commonly mentioned partners (40-50%) include universities and research institutes, trade unions, private service providers and other public agencies. Collaboration with health services remains more limited: only 30% of countries indicated them as partners, which may reflect confidentiality constraints hindering data sharing and co-ordination, as well as a potential gap in service provision.

Figure 5. PES co-operate with a wide range of partners to design and implement ALMPs with social objectives

Share of countries identifying these stakeholders as PES partners



Note: See notes to Figure 1. No information on Poland. The response for Belgium refers to the Brussels-Capital Region only.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Thirty out of 35 countries implementing ALMPs with explicit social objectives indicated that these partnerships are supported by a variety of formal mechanisms, such as contracts, memoranda of understanding, co-operation protocols, advisory councils, joint committees and strategic partnership agreements, to facilitate implementation of ALMPs with social objectives. While some mechanisms provide broad framework for co-operation on ALMPs in general, others are explicitly geared towards reaching disadvantaged groups and supporting social inclusion. These include, for example, formal agreements to co-ordinate tailored support for people with complex barriers, partnerships with civil-society organisations to deliver holistic services for specific groups, and dedicated protocols aimed at improving the labour market and social integration of specific disadvantaged communities (Box A B.1).

Across countries, many PES (63%) have dedicated staff or specialised functions to support groups further from the labour market and strengthen jobseekers' social as well as employment outcomes. These include specialised counsellors, case managers, job coaches, psychologists, occupational therapists, rehabilitation specialists and mediators. They work with people with disabilities, young people (including NEETs), the long-term unemployed, migrants and ethnic minorities, minimum income or other benefit (above all social assistance) recipients, persons under judicial supervision and individuals facing complex social or health-related barriers. Their support typically goes beyond employability, addressing social outcomes such as improved motivation and self-confidence, strengthened mental health and well-being, enhanced daily functioning and life-management skills, reduced isolation, and greater social participation. Some PES also operate specialised units or teams – such as social consultation teams (Belgium/Brussels), special counters for target groups (Austria), youth guidance centres (pilot project in Poland), vocational psychological service (Germany, Box A B.2) – to provide tailored and holistic support. In some countries,

these roles also involve outreach, co-ordination with social and health services or other referrals and employer engagement.

Integrating social goals into the ALMP framework is not an easy task. Programmes with explicit social objectives span a wide range of intervention types, target groups and social outcomes, requiring co-operation between the PES and multiple actors, dedicated staff as well as stable funding. While this diversity of efforts reflects the need to address the multifaceted barriers faced by jobseekers and inactive people outside the labour market, it also underscores the importance of robust systems to monitor and evaluate these non-traditional, and in some cases, softer outcomes. Understanding how data on social characteristics of jobseekers are collected – and the extent to which programmes succeed in improving social outcomes of ALMP participants – is essential for determining what works, for whom, and under what conditions. The following sections therefore examine the availability of data for measuring the social characteristics of jobseekers and current practices in monitoring and evaluating social outcomes of ALMPs, along with the challenges countries face in generating reliable evidence.

3

Data for measuring social characteristics and outcomes of ALMP participants

For an effective monitoring and evaluation of social outcomes of ALMPs, data are needed both on the social characteristics of jobseekers and their outcomes following participation in ALMPs.⁸ Data on jobseekers' social characteristics is essential for taking into account the initial conditions faced by these groups and better interpreting jobseekers' progress toward social outcomes' goals. High-quality data on social outcomes allow policymakers to track more than employment effects of ALMPs and better capture changes in health, well-being, and social inclusion among ALMP participants. Furthermore, they enable carrying out CBA that account for wider impacts of ALMPs (see Sections 4 and 5). Overall, they allow evaluating whether programmes achieve their social objectives and adjusting interventions over time.

Social characteristics and outcomes are often not as straightforward to capture in administrative registers as labour market characteristics, such as existence of employment contract or wage level. Collecting data on jobseekers' social characteristics requires PES either to apply robust tools to assess the social situation, such as via tests and questionnaires, or to access related data collected by external institutions. The primary purpose of data collection on social characteristics by PES is often to facilitate designing and targeting ALMPs. The same data can be successfully used additionally for monitoring and evaluation purposes.

This section first examines how PES assess the social characteristics and outcomes of ALMP participants using in-house tools and methodologies as well as the timing of such assessments over jobseekers' pathway to social and labour market integration. It then explores the role of external partners in data collection, reviews the availability of administrative and survey data on social characteristics, and outlines the scope for linking these data with unemployment registers.⁹

3.1. PES apply diverse tools to assess jobseekers' social characteristics

Many social characteristics, such as motivation, confidence, well-being and social participation tend to be difficult to uniquely define or precisely and quantitatively measure. As such, these characteristics are rarely part of administrative registers, both because they are challenging to quantify and because collecting such information may appear as intrusive as it often covers sensitive personal data.

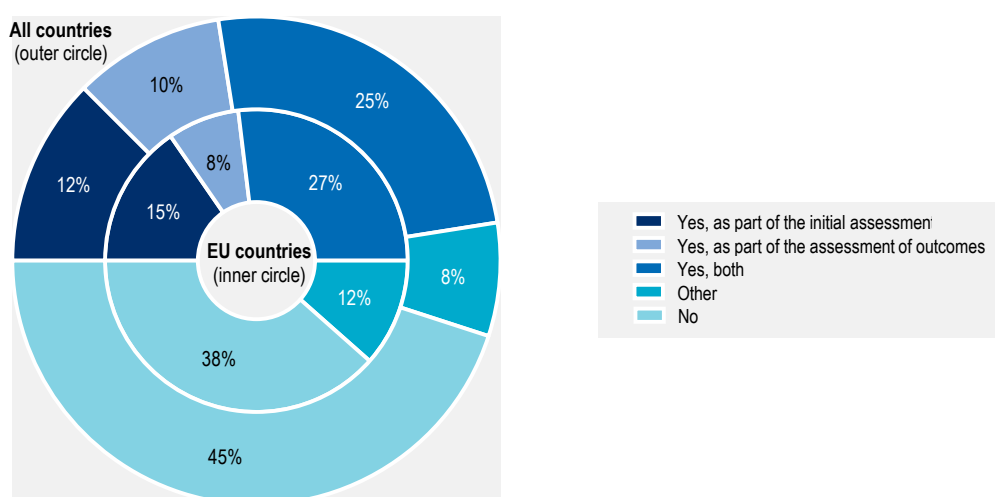
Over the years, countries have developed a wide range of tools to collect the data and assess the social characteristics of jobseekers. These tools have been adopted above all to help better understand jobseekers' needs for ALMPs over their pathway to social and labour market integration. Some of these tools aim to assess broader social dimensions or progress towards labour-market readiness, while other specific characteristics like motivation, confidence, autonomy, well-being, social participation, health-related barriers or a combination of these. The data are collected for these assessments by self-

assessment questionnaires, psychological or diagnostic tests, profiling instruments and other comprehensive structured methodologies.

Altogether, around half of all responding countries collect data to measure jobseekers' social characteristics (Figure 6). Some (12%) systematically collect data on social characteristics to conduct an initial assessment or profiling when jobseekers register with the PES to better understand jobseekers' needs and assign appropriate measures. Others (10%) monitor the social outcomes after ALMP participation. A sizeable group (25%) conducts both an initial assessment of social characteristics and a follow-up monitoring of social outcomes, offering a more complete picture of participants' progress along key social dimensions. Several countries (8%) use ad hoc or more general qualitative approaches to understand jobseekers' social characteristics rather than using dedicated structured tools to collect data.

Figure 6. Around half of countries collect data to measure jobseekers' social characteristics or outcomes

Share of countries who report collecting data to assess jobseekers' social characteristics or outcomes



Note: The figure covers 40 OECD and EU countries: Australia, Austria, Belgium, Bulgaria, Canada, Chile, Colombia, Costa Rica, Croatia, Cyprus, Czechia, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, Ireland, Italy, Japan, Korea, Latvia, Lithuania, Luxembourg, Malta, Mexico, Netherlands, New Zealand, Norway, Poland, Portugal, Romania, Slovak Republic, Slovenia, Sweden, Switzerland, Türkiye and United Kingdom. The response for Belgium refers to the Brussels-Capital Region only. "Other" includes ad hoc assessments or qualitative assessments that do not rely on specific tools.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Several EU and OECD countries have revised their systems of disability benefits and ALMP support for people with disabilities in the recent years, and have introduced new methodologies to assess health-related obstacles combined with employment-readiness and other social dimensions to better understand the needs for support (OECD, 2022^[7]; OECD, 2021^[8]). For example, the Finnish PES uses the [Abilitator](#), a self-report questionnaire for assessing jobseekers' work ability and overall functioning. Developed by the Finnish Institute of Occupational Health, it covers multiple dimensions relevant to work capacity, including physical and psychological well-being, everyday coping ability, skills (such as concentration and learning), social inclusion, and work-related motivations and barrier to tailor employment measures. The collected data inform jobseekers' profiling, support the development of individual service plans, and guide adjustments to provide employment services where needed.

Other tools have been developed to assess social characteristics of people facing various obstacles for labour market and social integration. The Dutch PES, UWV, together with some municipalities apply the [participation ladder methodology](#) to capture levels of social participation and readiness for work of jobseekers and unemployed recipients of social services. The ladder has six levels – from social isolation to fully autonomous employment – and serves to assess the needs of clients, identify suitable interventions, set targets and monitor progress over time (Box A B.4).

3.2. Many PES rely on external data to capture social characteristics

Data on some social characteristics of ALMP participants are not collected directly by PES but are obtained through data sharing agreements with other institutions. Around 40% of the countries report that such data exchange takes place. This often involves institutions responsible for minimum income benefits (e.g. Social Welfare Centres in Croatia, Ministry of Social Cohesion and Family in Greece) or bodies that verify health status and work capacity for disability claims or professional rehabilitation (e.g. Institute for Expertise, Professional Rehabilitation, and Employment of Persons with Disabilities in Croatia, National Authority for the Protection of Persons with Disabilities Rights and National Public Pension House in Romania). The Latvian PES has viewing access to the municipal social assistance and service administration application ([SOPA](#)), the information system for local governments to administer social aid and social services. Countries also exchange data with service providers. For example, in Germany, certified providers delivering labour market integration measures prepare participant-specific reports that document progress towards integration, e.g. through assessing motivation, daily routine, work and social behaviour, or shifts in perspective.

Many countries have well-developed administrative databases or survey data that contain information on social characteristics. However, there is substantial variation across different types of social characteristics in both the availability of data and the extent to which these data can be linked to unemployment registers. According to the countries' responses to the OECD questionnaire (Table), data on health, education (and potentially enrolment into education system of minors in the household), migration, crime, and household income are the most commonly collected, with more than half of countries reporting at least one relevant data source in each of these areas that can potentially be linked to unemployment registers. These domains also have a large number of data sources overall, reflecting relatively mature and diverse administrative and survey data infrastructures in these areas. In contrast, data related to housing and social services are less consistently available, often because information is fragmented across providers or levels of government. The most limited coverage is observed for softer or less institutionalised outcomes – such as civic and social participation (as well as social capabilities, including self-confidence, motivation, autonomy, and independence) – highlighting challenges in capturing social dimensions that are not routinely recorded and typically require special purpose surveys.

Data availability alone does not guarantee their usability for research purposes. Although legal restrictions for data use and linkage exist for most types of data, they are particularly salient for sensitive domains, most notably crime and justice records as well as civic and social participation, where strict data protection and access rules significantly limit linkage possibilities. By contrast, data on education tend to face fewer legal obstacles, reflecting both lower sensitivity of such data and more established data-sharing practices. Technical constraints, however, are widespread across nearly all domains, pointing to systemic issues such as the absence of common identifiers (particularly for linking survey with administrative data), heterogeneous data structures (often in the context of regional data), and a general lack of institutional capacity and adequately developed IT systems. This suggests that improvements in infrastructure and interoperability of data systems could unlock substantial analytical potential on jobseekers' social characteristics.

Table 1. Scope of data sources on social characteristics and outcomes and possibility to link them with unemployment registers

Main administrative registers and survey data sources by type of social characteristics

Type of social characteristics	Total number of data sources reported	Share of countries reporting at least one data source	Share of reported data sources that..			
			..have no significant legal constraints that prevent linkage with unemployment registers (UR)	..have no significant technical constraints to linkage with UR	..have ever been linked to UR	..are routinely linked to UR
Health (e.g. mental and physical health status, disability status, hospitalisations, healthcare usage, self-reported wellbeing, etc.)	45	65%	69%	42%	53%	18%
Education (e.g. school attendance of children in the household, drop-outs, etc.)	33	63%	82%	33%	58%	33%
Migration (e.g. migration status, length of stay, citizenship, residence permits, information on those who left the country)	29	58%	62%	38%	66%	52%
Crime and justice (e.g. criminal convictions, incarceration, recidivism rates, participation in rehabilitation programmes)	29	50%	28%	31%	14%	7%
Household income, poverty, material deprivation (e.g. income below poverty threshold, inability to afford basic goods and services, social exclusion indicators, etc.)	21	50%	67%	33%	52%	29%
Housing (e.g. housing conditions, homelessness, access to social housing, etc.)	23	48%	57%	26%	30%	9%
Use of social services (e.g. support for people with disabilities, support for people with addictions, childcare, food assistance, etc.)	22	43%	68%	27%	50%	18%
Civic and social participation (e.g. participation in community activities, volunteering, voter registration, social networks)	11	23%	27%	36%	0%	0%

Note: See notes to Figure 6 . Responses for Belgium refer to the federal level data.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

The combined effect of legal and technical constraints limits the potential for linking data on social characteristics with the unemployment register. Only about half of countries routinely link such data to unemployment registers. Data linking is most advanced in domains where data on social characteristics might determine eligibility to register with PES, such as citizenship and migratory status, and to a lesser extent in cases the social characteristics can be used as additional information to guide service provision, such as health and education data. Even in these areas, data linking is often ad hoc rather than routine, indicating that systematic use of social characteristics for ALMP evaluation remains challenging. In domains such as housing, crime, and social participation, linkage is rare or absent, making these outcomes less often available for evaluation.

3.3. Rich health data exist, but linking these to unemployment registers is limited

Countries typically rely on a combination of administrative health registers and health-related surveys, which differ markedly in coverage, level of detail, and the type of indicators they provide. Together, these sources offer complementary perspectives on individuals' health status, healthcare use, and functional limitations (OECD, 2025^[9]; Oderkirk, 2021^[10]). Twenty-five countries out of 40 responding to the questionnaire reported at least one reliable administrative or survey data source containing health characteristics that can potentially be linked to unemployment registers.

Administrative health registers are the most widespread source of health data and are usually embedded within national healthcare delivery systems, health insurance schemes or social security administrations. They capture information on healthcare utilisation, including hospitalisations, outpatient visits, specialist care, medical diagnosis and prescribed medicines. These datasets allow for the construction of indicators on the intensity of healthcare use, the types of conditions treated and patterns of medications used.

A second major group of registers focuses on disability status and work capacity. Many countries maintain dedicated disability registers that record legally recognised disability status, degree of impairment or assessed work ability. These data typically include indicators related to functional limitations, eligibility for benefits, the need for workplace accommodation or participation restrictions. Closely related are registers on temporary incapacity and sick leave, which record periods of illness-related absence from work or unemployment spells affected by health conditions. While these registers rarely include detailed medical diagnoses, they provide valuable information on the incidence, duration, and recurrence of health-related work interruptions.

Health-related surveys complement registers by capturing dimensions that are typically not observable in administrative data. The most common survey-based indicators relate to self-reported health status, mental well-being, functional limitations or disabilities as experienced by respondents, rather than as formally certified. Surveys may also include information on health-related risk factors and access to health services.

Only a small group of countries routinely link health-related administrative data to unemployment registers, enabling an integrated view on some health-related barriers faced by jobseekers. For example, New Zealand links unemployment register data with a broad set of health-related administrative sources, including hospital stays, pharmaceutical prescriptions, disability status, mental health service use, and accident insurance claims. In Lithuania, unemployment records are systematically linked to individual-level information on disability – covering disability status, diagnosis and the need for work assistance – as well as periods of temporary incapacity for work due to illness. Romania similarly reports routine linkage between the unemployment register and information on chronic conditions, degree of disability, and access to medical or social services. In Luxembourg, the PES data warehouse, which contains unemployment records also routinely incorporates information on disability status and professional redeployment of jobseekers. Health-related survey data are linked to unemployment registers much less often and only on an irregular basis.

Several countries, including Australia, Austria, Greece, Slovenia and Sweden, report that health data have been linked to unemployment registers but only on an ad hoc basis, typically for research or statistical purposes rather than routine operational use. In Australia major health surveys (such as National Health Survey and National Study of Mental Health and Wellbeing) as well as administrative datasets on vaccinations and claims for subsidised health services can be linked to unemployment records using the Person Level Integrated Data Asset (PLIDA). As both unemployment records and health-related datasets have already been linked to the common PLIDA spine, the linkage only requires authorised access to the relevant datasets and the spine concordance file. The Australian government and researchers have already used these linked data to analyse the relationship between mental health and various social and economic determinants of health.

3.4. Well-developed education registers can be linked with unemployment records

Similar to health-related data, twenty-three countries reported at least one reliable administrative or survey data source containing information on education characteristics that can potentially be linked to unemployment registers. In the context of this paper, the primary interest in educational trajectories as social outcomes relates to household members of jobseekers, particularly educational participation and performance of children.¹⁰ While these outcomes are typically not explicit objectives of ALMPs (and therefore they have not been discussed in Section 2), they may often arise as important indirect effects.

Across countries, education data are primarily collected through administrative education registers, which typically form part of national education management or statistical systems. These registers provide individual-level (longitudinal) information on educational participation and attainment, including school enrolment and attendance, completed grades, qualifications obtained, and fields of study. In some cases, they also include data related to admission processes, test results, indicators of disadvantage, student loans and allowances, or information related to (risk of) dropouts. Many registers span multiple education levels, from early childhood and compulsory schooling to vocational education, tertiary education and doctoral studies (e.g. Denmark, Estonia, Italy). Others are segmented by level, with separate registers for school education, vocational training, and higher education (e.g. Bulgaria). Because they are census-based and frequently rely on personal identification numbers, registers allow for precise tracking of educational pathways over time.

Survey-based education data complement administrative registers, particularly where registers are incomplete or where additional dimensions are required. Education surveys typically collect information on broader educational attainment and performance, e.g. on early childhood development, aspirations, educational decision-making, and career advice in Australia, school attendance and reasons for early school leaving in Mexico. Compared with registers, surveys usually offer richer contextual information, including socio-demographic characteristics and household circumstances, and rely on self-reported skills and qualifications. This can help fill important gaps, especially for individuals who are not fully captured in administrative systems, such as migrants. Surveys, however, are generally more limited in frequency, sample size, and longitudinal follow-up.

Several countries routinely link education data to unemployment registers, including Estonia, Iceland, Lithuania, New Zealand, Romania, Slovak Republic, Slovenia and Sweden. While this does not necessarily involve linking education characteristics of household members at present, this constitutes an important first step and offers the potential to move to household level in the future. In these countries, individual-level education records – covering attendance histories, learning periods or qualifications obtained – can be matched to unemployment spells. Such linkages are typically used to analyse unemployment risks by education level or more complex education trajectories (that go beyond self-reported highest attainment) and to identify early school leavers among the unemployed. In some cases, for example in Slovenia, it is

possible to link education registers with social insurance and employment records, allowing a comprehensive view of post-education trajectories. However, educational outcomes of household members, particularly children, are far less frequently analysed across countries, as this requires additional linkage to household-level data.¹¹

3.5. Data on migrants are often linked to unemployment registers for administrative purposes

Across countries, administrative data are the primary source of information on migrants, and around half of responding countries report having data on migrants that can potentially be linked to unemployment registers. These data are typically drawn from population or civil registers, migration and asylum registers, visa and residence permit databases. They usually contain officially recorded information on nationality, country of origin, residence and work permits, length and legality of stay, asylum status, as well as some basic demographic information. A number of countries, including Austria, Belgium, Denmark, Estonia, Latvia, Lithuania, Luxembourg, Poland, Slovak Republic and Sweden, regularly link administrative migration data to unemployment registers. Such linkages are often required to verify individuals' eligibility to certain PES services. In Latvia, for example, population register data are used to identify Ukrainian refugees, who are entitled to targeted support measures. However, these linked administrative data are rarely used to assess social outcomes of ALMPs in terms of, for example, changes in migration status over time.

Targeted surveys on migrants are reported to be less widespread – only two countries report using such data actively – but play an important complementary role by providing richer contextual information. In Germany, for example, representative longitudinal surveys of refugees (IAB-BAMF-SOEP Survey of Refugees) and migrants (IAB-SOEP migration sample) collect information across a wide range of areas, including demographics, education, labour market participation, health, and migration biographies. The surveys are regularly linked to the German unemployment register, opening up wide range of new research opportunities for analysing migration-related social outcomes of ALMP participants (Keita and Trübswetter, 2020^[11]; Brücker et al., 2014^[12]). In Mexico, multiple surveys capture information on international and internal migration, length of stay, and reasons for migration. These data are currently used to deepen the understanding of migration by analysing its characteristics, scale, trends and effects on the labour market and societies. However, unlike Germany, these survey data are not linked to the unemployment register, which limits their potential use for analysing social outcomes of ALMP participants related to migration. In addition to such targeted surveys, virtually all OECD countries have basic information on nationality and country of origin in their standard labour force surveys.

3.6. Linking crime data with unemployment registers is rare and constrained

Around half of responding countries report having data sources on crime and justice that could be considered for linking with unemployment registers. However, the potential to link such data to unemployment registers is much more limited than for other types of social outcome data. This reflects both the lower relevance of crime-related data for PES core functions and significant legal and technical constraints on data sharing in this area.

Data on crime are primarily drawn from administrative sources, most commonly police records, court and conviction registers, as well as prison or probation databases. These sources typically contain information on recorded offences, type and severity of crime, dates of offences or convictions, and sanctions imposed. Administrative crime data are generally collected for legal and statistical purposes and are therefore not designed with labour market analysis in mind.

Survey-based sources of crime-related data are much less common because of the sensitivity of the topic. Australia reports as one of the potential sources the “Personal Safety Survey”, which collects self-reported information on personal experiences related to crime, including violence, emotional and economic abuse, stalking, harassment, and perceptions of general safety.

Both administrative and survey data on crime and justice are rarely linked to unemployment registers. Only a few countries, including Denmark, New Zealand and Sweden, report linking such data, typically for specific analytical or research purposes rather than routine monitoring. New Zealand links data on police-recorded offenses, victimisation, correctional supervision as well as court fines and proceedings. Sweden links individual-level data from the criminal records register (*Kriminalvårdsregistret*) on an occasional basis, covering information on the type of crime, sentences and recidivism.

Linking crime data to unemployment registers is constrained primarily by legal barriers, with many countries indicating that such constraints prevent linkage. In some cases, there is no legal basis permitting data sharing between PES and justice authorities and legal amendments would need to be adopted to make data exchange possible. For example, in Lithuania, a data exchange agreement between the PES and the Ministry of Justice is currently under negotiation. On the technical side, registers are often not interoperable and additional developments are necessary to enable data exchange. The lack of practical experience with linking crime data to unemployment registers also means that the full scope of potential legal and technical constraint is not yet fully explored or understood in many countries.

3.7. Income and poverty data are sometimes linked to unemployment records

Nineteen countries report having data that contain information related to household income, poverty or material deprivation that could potentially be linked to unemployment registers. Administrative and survey data are equally represented among these sources.

Administrative data include centralised registers of recipients of social assistance benefits (e.g. Czechia, France, Greece, and Switzerland), tax registers (e.g. Estonia, Netherlands) or income and earnings registers (e.g. Denmark, Sweden). Tax and earnings registers typically provide detailed and reliable information on individual incomes but are less likely to comprehensively capture all income sources and household members. They often provide proxy indicators of income poverty and material deprivation. Registers containing information on receipt of social benefits, particularly social assistance benefits or other income-tested benefits, can offer a more direct means of identifying households in poverty and need. However, such data are often affected by non-take-up.

Survey data play an important role in measuring household income, poverty, and material deprivation, particularly through EU-SILC¹² in EU countries and comparable household surveys outside the EU (OECD, 2025^[13]; Eurostat, 2025^[14]). EU-SILC provides harmonised data on household disposable income, monetary poverty, and material deprivation, measured by inability to afford a set of essentials items, such as heating, holidays or certain durable goods. Outside the EU, for example, the National Survey of Family Income and Expenditure in Japan and the National Survey of Household Income and Expenditure (ENIGH) in Mexico offer similar information on household income and monetary poverty, complemented by detailed data on household expenditure – data that in the EU are typically captured through Household Budget Surveys.

Only a few countries regularly link administrative data on household income to unemployment registers, notably the Netherlands, New Zealand and Sweden. These countries benefit from integrated and well-established data infrastructures maintained by national statistical offices. More commonly, data are linked on irregular basis. For example, Austria and Ireland occasionally link EU-SILC data to unemployment records, while Czechia and Greece on an ad hoc basis link administrative data on social assistance benefit recipients.

3.8. Although rare, housing censuses and surveys can be linked to unemployment registers

Housing data that can be considered for linking with unemployment registers are reported in slightly less than half of the responding countries, and their scope and purpose vary considerably.

Administrative registers on housing are common and often focus on specific policy-relevant subgroups rather than the general population, such as recipients of allowances to cover housing or rent expenses (e.g. Czechia, Greece) or households waiting for or receiving social housing services (e.g. Lithuania, Estonia). Some countries maintain broader databases that collect housing variables within population or demographic registers (e.g. Denmark) or combine information on housing from multiple administrative sources (e.g. Australia). For example, Australia's Administrative Data Snapshot of Population and Housing (ADS) is a new, experimental population and housing data released in 2023 and compiled from several administrative data sources, covering dwelling characteristics, dwelling use and household energy consumption.

Census data are also widespread source of housing information across countries. Population and housing censuses (e.g. in Australia, Belgium, Hungary, Mexico) typically provide key information on dwellings characteristics, housing conditions, ownership status, overcrowding, and access to basic services and amenities. The data cover the whole population but are collected at relatively infrequent intervals.

In addition, some countries rely on recurring household surveys, such as Microcensus in Austria, the Housing and Land Survey in Japan, the National Housing Survey in Mexico. European countries also benefit from housing information collected through the European Union Statistics on Income and Living Conditions (EU-SILC). These surveys typically capture more detailed information on housing conditions, affordability and living standards.

Linking housing data and unemployment registers remains relatively uncommon. Most often, countries are able to link census or large-scale survey data (e.g. Australia, Austria, Belgium) rather than administrative housing registers (e.g. with the exception of recipients of housing support in Czechia), and this is typically done on an occasional basis. Regular linkage to unemployment registers is reported only in a small number of cases (e.g. Netherlands and New Zealand), usually within broader integrated data infrastructures supported by national statistical offices.

3.9. Administrative data on social services are often linked to unemployment registers

When it comes to the data on the use of social services, administrative data are the most common source relevant for linking to unemployment registers, with sixteen countries reporting such data. These data cover a wide range of services, including services for people with disabilities (e.g. Australia, Denmark, Estonia, Slovenia), childcare services (e.g. Greece), food assistance (e.g. Slovenia) and broader social services across multiple domains (e.g. Bulgaria, Denmark, Estonia, Hungary, Latvia, Lithuania, New Zealand, Slovenia, Sweden). Quite often these datasets, besides service provision, also contain information on monetary allowances received by target populations or indicators of particular vulnerabilities, e.g. being in material need.

Countries relatively often report linking administrative data on social services to unemployment registers, either on regular (e.g. Netherlands, New Zealand, Slovak Republic, Sweden) or occasional (e.g. Australia, Bulgaria, Czechia, Denmark, Latvia) basis. This likely reflects the fact that some of the information contained in these registers is relevant for defining the scope of ALMPs for jobseekers.

In contrast to the widespread use of administrative data, surveys on social services play a more limited role. Only two countries report survey data potentially relevant for linking with unemployment registers. In Australia, the Survey of Disability, Ageing and Carers (SDAC) offers rich individual-level information on people with disabilities (as well as older people and carers of these target groups), covering information on care and support received, employment, education, health and wellbeing. In Mexico, the National Survey of Household Income and Expenditure (ENIGH), besides detailed household incomes, also provides information on government support received by households, such as food assistance and childcare. While Australia links SDAC to the unemployment register on an occasional basis, in Mexico such link for ENIGH has yet to be developed.

3.10. Data on social participation are rarely collected and are not linked to unemployment registers

Data on social participation are relatively uncommon, only seven countries report data sources that could potentially be considered for linking to unemployment registers. These data cover aspects such as participation in social activities, volunteering, voter behaviour, and social networks.

Administrative data on social participation are very limited. Only a small number of countries, notably Australia and Austria, report administrative registers that capture some aspects of social participation. In Austria, jobseekers may report volunteering in NGOs, clubs and associations, such as volunteering with the fire brigade, Red Cross, alpine rescue services, churches, or as election helpers, to PES counsellors if they consider these activities relevant for their CVs and beneficial for improving their chances of finding a job. In such cases, this information may be recorded in the unemployment register, but it is not collected in a systematic manner. In Australia, the Australian Electoral Commission collects data on voter registration.

Most countries rely on surveys to measure engagement in community and leisure activities and volunteering. For example, the survey on Household, Income and Labour Dynamics in Australia (HILDA) collects longitudinal information on households, including their social connectedness and community involvement. In addition, the General Social Survey, conducted in Australia in 2020, provides detailed data on wellbeing and social activities, including involvement in community support, civic and political groups, and volunteer work. In Japan, the Survey on Time Use and Leisure Activities, conducted every five years, collects basic information on people's social lives and leisure activities. Some countries, including Hungary and Portugal, collect data on participation and time spent in volunteer work through an optional LFS module. Since 2018 Sweden conducts a comprehensive survey on voter participation in elections.

Across all countries reporting data on social participation, whether derived from administrative registers or surveys, no country has linked these data sources to unemployment registers. As the OECD survey does not point to specific legal or technical barriers for such linkage, this absence most likely reflects a limited perceived policy or operational value of integrating social participation data into unemployment registers. Given the importance of social participation for social inclusion and community engagement, the absence of linked data suggests that an important intermediate outcome is currently overlooked in ALMP evaluation.

Overall, the availability of data on jobseekers' social characteristics remains uneven across countries, both in terms of scope and quality. While relatively rich administrative or survey-based data exist in some domains, such as health, education, migration or income, systematic linking of these data to unemployment registers remains limited and is often constrained by legal or technical barriers, which can nevertheless be addressed where there is sufficient political prioritisation and institutional commitment. As a result, data available for monitoring progress of ALMP participants toward social objectives or for assessing the broader social effects of ALMPs beyond employment outcomes remains fragmented. These limitations have important implications for how social objectives are tracked and evaluated in practice, which is the focus of the next section.

4 Monitoring and evaluation of ALMP impact on social outcomes

ALMPs are designed primarily to improve employment prospects for jobseekers, but they can also generate important social benefits beyond employment, whether these are explicitly targeted or emerge unintentionally as by-products of programme activities. Policymakers are increasingly interested in these wider benefits, as they capture the human and social impact of ALMPs alongside their economic outcomes. Evaluating these wider impacts is crucial for conducting comprehensive CBA of interventions and promoting policies that deliver positive employment outcomes in a cost-efficient manner. Systematically monitoring and evaluating social outcomes is therefore essential for understanding the full value of ALMPs, identifying which approaches are most effective, and ensuring that programmes genuinely support people facing complex barriers to work.

This section focuses on the monitoring and evaluation of social outcomes of ALMP participants. It first discusses the experience of EC and OECD countries in systematically monitoring social outcomes, and alternative approaches used to track the outcomes of groups further from the labour market separately from other jobseekers. It then focuses on the evaluation of social outcomes of ALMPs and reviews recent empirical evidence. The section concludes with a discussion of the main challenges countries face in conducting CIEs of social outcomes and discusses how such analysis can inform policymaking.

4.1. Monitoring of social outcomes remains limited

Monitoring involves systematic collection of data on predefined indicators to provide management and stakeholders with timely information on the progress towards policy objectives. Key components of monitoring framework are clearly defined indicators, which offer simple and reliable measures of achievement, capture changes attributable to the policy, and support assessment of performance. Effective monitoring enables policy designers and implementers assess evolution in policies over time, supporting both performance and quality management, and informs operational as well as strategic decision-making (OECD, 2022^[15]).

Even though many PES measure social outcomes or access relevant data from other institutions, only one in four (25%) specifically *monitor* social outcomes of participants to assess their progress along social dimensions (Figure 7). In most cases, monitoring is carried out for selected ALMPs. A small number of countries (e.g. Belgium/Brussels, Colombia, Denmark and New Zealand) monitor selected social outcomes on an ad hoc basis. Several others (e.g. Italy and Lithuania) do not yet monitor social outcomes but have plans to introduce such practices in the future.

The indicators used for monitoring vary depending on the specific ALMP and target group. Romania, for instance, monitors social outcomes in EU-funded projects for vulnerable groups, focusing on aspects such as social participation, motivation for taking employment and learning, perceived health status, self-confidence and personal autonomy. Motivation is assessed through self-assessment questionnaires at the beginning and at the end of the intervention to track changes over time. Improvements in health are measured either through participants' self-reported statements or psychological assessments. Self-

confidence and personal autonomy are assessed by PES counsellors during counselling meetings or through questionnaires. These data are recorded in individual monitoring sheets or dedicated project platforms and are used to personalise guidance, adjust interventions and assess programme outcomes.

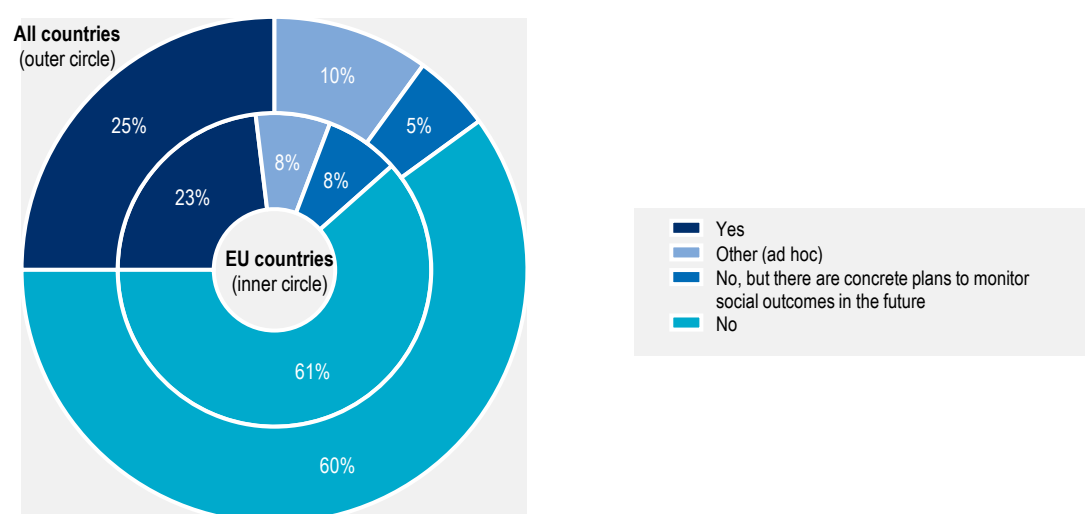
Australia monitors work readiness, human capability, and life satisfaction in the programme “Transition to Work (TtW)” and participants’ well-being in the programme “Parent pathways”. In TtW, for example, work readiness is defined as the possession of core skills and behaviours required by employers, including teamwork, communication, a positive attitude and work ethic. Employment service providers use a range of in-house and external tools¹³ to assess participants’ initial level of work readiness and to monitor progress over the course of participation. At the aggregate level, the employment service administration monitors the work readiness of TtW participants through the post-programme monitoring survey. One of the key monitoring indicators used is the proportion of participants whose work readiness has improved following participation in the programme (Department of Education, Skills and Employment, 2021^[16]; Department of Employment, 2017^[17]).

Malta also monitors wellbeing for persons with disabilities and other disadvantaged groups throughout implementation of the ESF-funded “VASTE II” programme dedicated to enhancing active inclusion and employability. The Netherlands applies the participation ladder methodology (Box A B.4) to capture levels of social participation and readiness for work to monitor the effect of services for re-integrating people with disabilities.

The strong focus of ESF-funded programmes on vulnerable groups and social inclusion, together with ESF requirements for monitoring and evaluation, has played an important role in supporting the implementation of ALMPs with social objectives and promoting more systematic approaches to monitoring and evaluation in EU countries (European Commission, 2025^[18]; European Commission, 2024^[19]; European Commission, 2022^[20]). Although the ESF evaluation framework places greater emphasis on traditional labour market outcomes, such as employment and education, monitoring indicators frequently support the identification of vulnerable groups among participants. The emphasis on social inclusion (as one of the thematic objectives of the ESF support) has helped to raise awareness of the importance of considering social outcomes when monitoring implementation of these policies and evaluating their impact.

Figure 7. Only few countries monitor social outcomes of ALMP participants

Share of countries who report monitoring of social outcomes by PES



Note: See note to Figure 6. The response for Belgium refers to the Brussels-Capital Region only. “Other” includes ad hoc monitoring efforts. Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

When information on social outcomes is not available or when countries do not explicitly monitor social outcomes, many of them monitor employment outcomes for groups that are furthest away from the labour market or face greater structural barriers to employment than others. For some PES, this represents an initial step towards acknowledging that vulnerable groups have distinct labour market trajectories and that their outcomes can be better captured through different monitoring approaches. Most PES monitor outcomes for well-established target groups such as youth, older workers, the long-term unemployed, persons with disabilities or reduced work ability, and low-skilled or low-educated jobseekers. Many also track results for migrants, refugees and ethnic minorities. A smaller but important number of PES examine outcomes for more specific groups, including NEETs, social assistance recipients, Roma communities, ex-offenders or victims of human trafficking.

4.2. CIEs tend to focus on employment outcomes rather than on social outcomes

Rigorous evaluation of public policies and programmes is essential to inform policymaking (OECD, 2023^[21]; OECD, 2020^[22]; Jacobzone et al., 2025^[23]; OECD, 2020^[24]). Robust evidence on what works, for whom and under what conditions helps governments to achieve strategic objectives and improve spending efficiency. Different types of evaluations respond to different policy needs. Broadly, evaluations involve the systematic and objective assessment of a policy, programme or intervention, covering its design, implementation and results. Their aim is to generate evidence on whether an intervention is relevant, well implemented and effective in achieving its objectives, and whether it does so efficiently and sustainably. This paper focuses on CIEs, a particularly rigorous form of evaluation that estimates the effects of an intervention by constructing a counterfactual scenario to estimate what outcomes participants would have experienced in the absence of the intervention.

Recognising the importance of evidence-based policymaking, several countries have embedded evaluation requirements for ALMPs in their legal frameworks. As in the previous OECD survey on impact evaluations using administrative data (OECD, 2020^[25])¹⁴, just under half of countries (45%) reported having legal obligations to conduct evaluations, although in some cases these are formulated only in broad terms or apply solely to specific measures. Where legal obligations exist, they typically fall into four categories: (1) general statutory duties requiring ministries or public agencies to assess the effectiveness, efficiency or impact of labour market measures (e.g. Austria, Estonia, Germany, Switzerland); (2) requirements embedded in specific programmes or reforms, where legislation mandates evaluations as part of the policy design (e.g. Italy, Sweden); (3) public administration or financial management rules requiring periodic evaluation of publicly funded programmes (e.g. Finland, New Zealand); and (4) EU-driven obligations, particularly for ESF-funded interventions (e.g. Hungary, Luxembourg and other EU Member States).

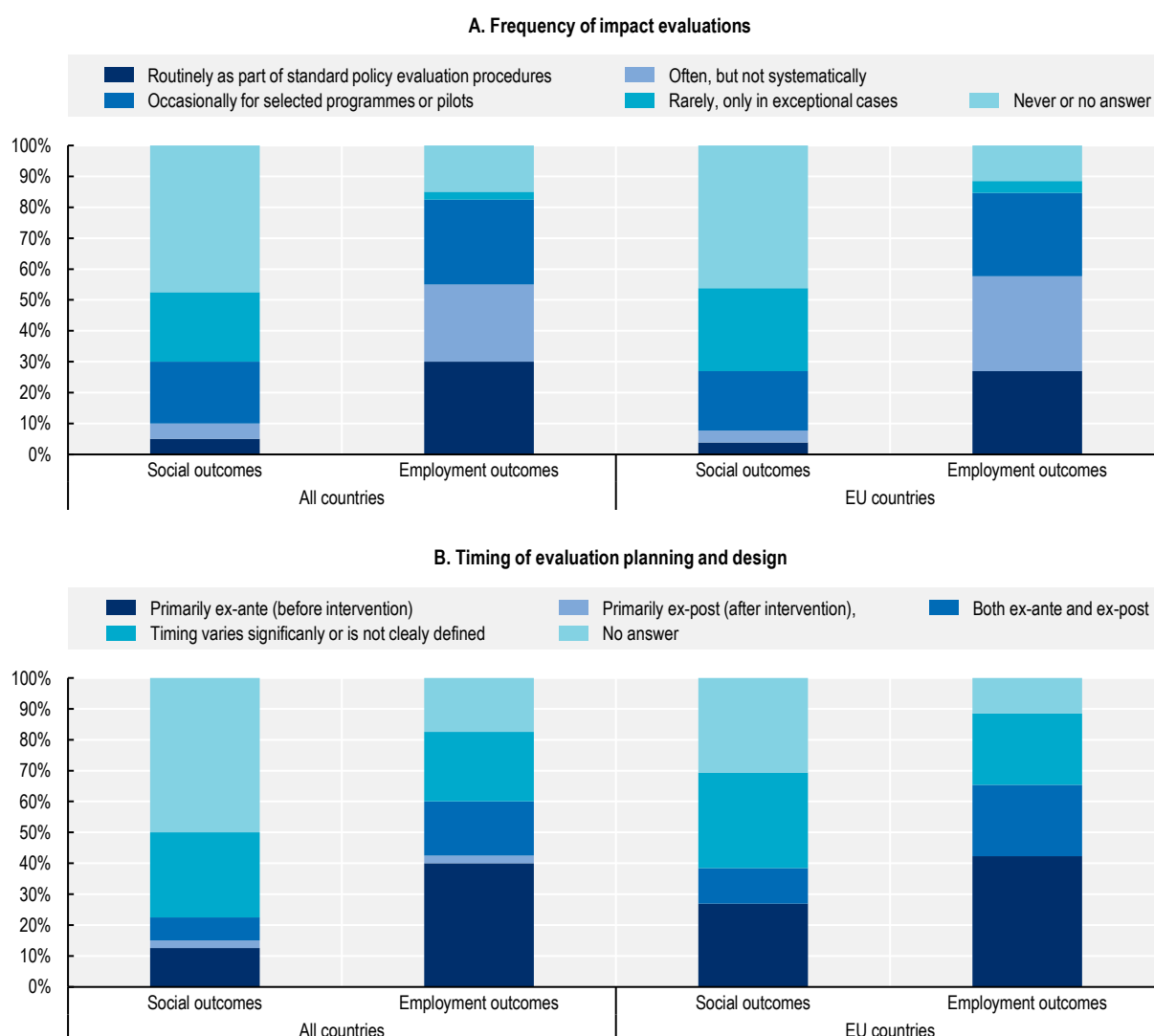
In practice, many countries carry out CIEs of ALMPs regardless of whether they are legally required to do so or not. However, employment outcomes are evaluated substantially more often than social outcomes (Figure 8). More than half of countries report conducting CIEs of ALMPs focusing on employment outcomes routinely or often, compared with only about one in ten countries that report that they consider social outcomes of ALMPs in their CIEs with similar regularity. In fact, nearly half of countries do not evaluate social outcomes at all, in contrast to employment outcomes, which are evaluated in majority of countries. CIEs of employment outcomes are also far more likely to be planned and designed ex-ante or to combine ex-ante and ex-post approaches, indicating a more structured evaluation framework. By contrast, evaluations of social outcomes are more often planned and designed at undefined or varying policy stages, reflecting more sporadic and less systematic approach in this area.

Some countries have developed dedicated digital tools based on administrative data to enable regular and detailed evaluation of employment outcomes by subgroups. For example, the Estonian Unemployment Insurance Fund uses the automated AI-driven evaluation tool MALLE to assess the effects of ALMPs by gender, age, education level, region and work ability (OECD/European Commission, 2025^[26]; Brioscú

et al., 2024^[27]; OECD, 2022^[28]). This tool applies CIE methods to evaluate on a regular basis impact of selected ALMPs on employment outcomes, with results visualised through interactive dashboards. While the tool currently focuses on employment outcomes, its underlying infrastructure provides scope for future extension to a broader set of outcomes, including social outcomes, subject to data availability.

Figure 8. Evaluations examine employment outcomes more systematically than social outcomes

Share of countries reporting frequency and timing of CIEs



Note: See note to Figure 6. The response for Belgium refers to the Brussels-Capital Region only.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Although ALMPs are typically evaluated in terms of their impact on employment outcomes, there is growing interest in their social impact – the broader effects on participants' well-being, health, social inclusion, and other non-employment domains. Such dimensions are particularly important when evaluating the impact of ALMPs with strong social objectives, as looking just on employment effects would miss important impact beyond job placement like mental health, self-sufficiency, and community participation.

Measuring the effects of ALMPs on social outcomes poses challenges, yet countries are increasingly adopting rigorous methodologies to strengthen evidence base. The methods used to evaluate social

outcomes of ALMPs are essentially the same as the CIE techniques commonly applied to more traditional employment-related outcomes (Box A B.5). Randomised Controlled Trials (RCTs) are widely regarded as the gold standard in this area, offering the highest internal validity when random assignment is feasible and ethically appropriate. Alongside RCTs, a range of quasi-experimental approaches, such as propensity score matching (PSM), difference-in-differences (DiD) and regression discontinuity design (RDD), are used to estimate effects when randomisation is not possible or appropriate. In some cases, mixed-method approaches are used, integrating quantitative impact estimates with qualitative insights gathered through interviews, case studies and focus groups to capture in-depth information and understand mechanisms behind social outcomes that cannot be fully measured through quantitative data alone.

Although evaluation of social impacts of ALMPs is a relatively new area and it requires extensive data on outcomes beyond employment – such as health, social skills and social participation – a growing body of research, led by both government institutions and academia, is examining programme effectiveness along these social dimensions.

4.3. Health outcomes are more frequently evaluated, yielding mixed results

Unemployment is known to have detrimental effects on both mental and physical health, increasing the risk of stress, anxiety, depression, and a deterioration in overall well-being. An important question for the analysis, therefore, is whether ALMPs can help mitigate these effects, by providing structure, routine and purpose, which support overall psychological stability and health.

Among the various social outcomes, health outcomes are relatively more commonly analysed in literature. A meta-analysis, reviewing articles published between 1990 and 2017 in high income countries, finds that ALMPs have a positive impact on health and quality of life (Puig-Barrachina et al., 2019^[29]). However, it also notes that relatively few studies examine the impact of ALMPs on general health – with most focusing on mental health – and that existing evidence is concentrated largely on Anglo-Saxon and Nordic countries.

A more recent evaluation of the wage subsidy programme "Participation in the Labour Market" for long-term welfare recipients in Germany found significant improvements in health and material well-being among participants one to two years after the beginning of the programme, measured by participants reported health satisfaction and health-related quality of life (Bömmel et al., 2024^[30]). The study concludes that even non-standard or part-time jobs obtained through ALMP subsidies can improve both physical health and mental well-being for the long-term unemployed. The estimated effects are moderate, with participants' health satisfaction levels on average one point higher (on a 0-10 scale) than those of the matched control group. Similar findings emerge from the Netherlands, where a study on workers with disabilities found that being employed, mainly through sheltered employment, reduced the probability of using mental health care by 7 percentage points and non-medical home care by 8 percentage points (van Eijkel et al., 2021^[31]).

In contrast, for young unemployed, the evaluation of the Youth Job Guarantee in Sweden (Hall et al., 2024^[32]), using detailed administrative data on health outcomes, including mental health, found no clear positive effects on health, measured by prescribed medication or healthcare visits, one year after the start of the unemployment spell. This underscores that the health impact of ALMP may vary across different target populations and according to their initial health conditions.

Notably, emerging evidence from Denmark suggests that when ALMPs fail to achieve their intended goals, they may have long-term adverse mental health effects for most disadvantaged groups (Baekgaard et al., 2024^[33]). Drawing on randomised trials, the ten-year follow-up study finds a lasting increase in the use of antidepressants among the least resourceful clients, who also saw no positive employment effects after they received intensified or early activation. The negative effects are driven by the participants with pre-existing mental health vulnerabilities. The findings suggest that a one-size-fits-all approach to ALMPs is

undesirable. To achieve positive employment outcomes and to avoid unintended negative effects, ALMPs should be carefully tailored to individuals' capacity and needs. More broadly, the results imply that while successful programmes may reinforce positive social outcomes such as health, unsuccessful interventions may risk negative effects, potentially worsening social outcomes of already disadvantaged groups.

4.4. Evidence on social participation varies by indicator and intervention type

Beyond individual health, ALMPs can also promote broader social outcomes such as social participation and inclusion. ALMPs can help restore social engagement and a feeling of belonging by reconnecting individuals with social networks, structured activities and a sense of purpose. Indicators used to assess social participation and inclusion vary widely and include participation in social activities, social network size, volunteering or cultural engagement.

Several studies examining employment subsidies in Germany find significant positive impacts on subjectively perceived social integration, including for severely disabled people (Özerdoğan, 2025^[34]; Schiele, 2025^[35]; Kasrin, Schiele and Zabel, 2023^[36]). Among refugees, however, findings are more mixed and depend on the type of intervention. Measures focused on activation, vocational integration, training and employment tend to improve social participation (Rinne et al., 2025^[37]), whereas language courses alone did not increase the number of social contacts that the unemployed had with locals (Kanas and Kosyakova, 2022^[38]).

Evidence from Sweden similarly shows heterogeneous results. An evaluation of a programme supporting refugees' labour market integration found no significant long-run effects on psychological, social, political or navigational integration (Dahlberg, Egebark and Vikman, 2023^[39]). By contrast, subsidised employment for refugee women has been shown to foster stronger integration outcomes (Arbetsförmedlingen, 2023^[40]).

An evaluation of direct job creation measures, such as cash-for-work projects that created short-term jobs and income-generating opportunities, for refugees in Türkiye found positive effects on alleviating social tensions and strengthening social cohesion (European Training Foundation, 2025^[41]; Roxin et al., 2021^[42]).

4.5. Recent studies find positive effects of ALMPs on jobseekers' social skills

Some ALMPs explicitly aim to strengthen social skills such as self-esteem, self-confidence and motivation. These programmes recognise that many jobseekers face psychological or behavioural barriers that can hinder their ability to search effectively for work or engage in employment and training. ALMPs can help participants build resilience, improve communication and problem-solving skills, foster a more positive outlook on their employment prospects and enhance their employability.

France's programme "Enhance your professional image" (*Valoriser son image pro*), which provides group workshops to help jobseekers better understand recruiters' expectations, has been shown to improve participants' self-efficacy and autonomy in career management as well as the quality of subsequent employment, with no conclusive effect on the level of employment in the long term (Guadalupe, Roth and Roulet, 2025^[43]).

The evidence from Australia similarly highlights the value of building social skills. The programme "Transition to Work", which provides intensive pre-employment support to improve the work readiness of young people at risk of long-term unemployment, has demonstrated positive impact on building human capabilities, including self-confidence, perseverance, clarity about future aspirations, and motivation to work towards personal goals (Department of Employment and Workplace Relations, 2024^[44]).

In the Netherlands, the training programme for individuals distant from the labour market has also shown broad social benefits. Beyond improving participant's chances on the labour market, the intervention also increased their self-confidence (UWV, 2022^[45]).

4.6. Well-being effects are strongest for ALMPs offering subsidised employment

Some studies examine how participation in ALMPs is associated with improvements in subjective well-being, recognising that unemployment affects not only labour market outcomes but also individuals' overall life satisfaction.

Evidence from Germany shows that ALMPs offering subsidised employment, such as wage subsidies and subsidised self-employment, have the strongest positive effects on well-being, measured by subjective life satisfaction (Rose, 2018^[46]). Findings from the United Kingdom similarly indicate that participation in ALMPs is associated with increased well-being among unemployed individuals, although no significant effects are observed on health or social capital (Sage, 2014^[47]). In the Netherlands, the training programme for individuals distant from the labour market increased participants' happiness in life (UWV, 2022^[45]).

4.7. Research on crime-related effects of ALMP participation is limited

Though less commonly examined, some studies have analysed the relationship between ALMP participation and crime. This line of research explores whether engagement in employment programmes – by providing structure, income opportunities, skills development or stronger ties to institutions – can reduce the likelihood of criminal behaviour.

A recent Dutch evaluation of a mandatory ALMP programme finds that participation reduces the average monthly probability of committing a crime among non-natives by approximately 12%, a group considered relatively vulnerable (Stam, Knoef and Ramakers, 2024^[48]). This corresponds to an estimated total reduction of 375 weekday offenses. The reduction is concentrated on weekdays, suggesting that the primary causal mechanism is reduced opportunity: by engaging participants in structured activities, the programme leaves less time to commit crime. Participation in Australia's programme "Transition to Work" similarly has been shown to reduce likelihood of reoffending over the four years following programme commencement among participants with a prior offending history at referral by 11.5 percentage points (Department of Employment and Workplace Relations, 2024^[44]).

4.8. Conducting CIEs of ALMPs on social outcomes remains challenging

Countries report a range of challenges that make CIEs of ALMPs focusing on social outcomes particularly difficult to conduct. The most common barriers relate to data gaps, especially the lack of register-based information on outcomes such as well-being, motivation, health, social inclusion or other household circumstances, which often require costly surveys or special data collections (e.g. Estonia, France, Germany, Ireland and Sweden identified this as one of the main challenges)¹⁵. Because social outcomes are typically sensitive, the scope of questions that can be asked in surveys or linked from other data sources is also often limited. This can impose additional data-protection constraints, creating legal and technical barriers to linking datasets on social outcomes, particularly when such data are held by institutions that the PES does not have an established data exchange system (for research purposes) and when these data have not previously been linked to e.g. employment and unemployment registers (e.g. Estonia, France, Italy). Ethical considerations when working with vulnerable populations may further narrow what data can be collected and used for research purposes, limiting both the scope and depth of analysis (e.g. Germany, Sweden). Moreover, policies addressing social barriers are frequently under the

responsibility of sub-national governments, further complicating access to regional or municipal data for national-level analysis (e.g. Italy, Netherlands).

Even when data on social outcomes are accessible, evaluations often become challenging because of small sample sizes (e.g. Germany, Latvia, Netherlands). This may occur because data are obtained from small-scale surveys, evaluated programmes are targeted at narrowly defined groups or interventions are implemented locally within a particular geographical area. Small samples limit statistical power of analysis, make it difficult to disaggregate results by subgroup, and complicate the identification of sufficiently large and comparable control groups. These constraints, combined with the reliance on subjective indicators prone to measurement error or bias, increase methodological uncertainty and reduce the feasibility of conducting robust CIEs (e.g. Australia, Romania).

Many countries also note that the absence of explicit focus on social outcomes in ALMPs limits the extent of evaluation efforts in this area (e.g. France, Italy, Luxembourg, Mexico, Netherlands, Norway, Romania, Slovak Republic, Sweden). Social outcomes are not systematically defined or prioritised during programme design, resulting in limited monitoring data and unclear evaluation targets. PES often has no established institutional culture of considering non-economic dimensions, meaning that social outcomes are often overlooked or treated as secondary.

Another challenge is the lack of standardised methodology for evaluating social outcomes. There is no common agreement on how these outcomes should be defined or measured, and some social outcomes materialise only slowly, requiring a longer time horizon for robust assessment. As a result, qualitative or descriptive assessments of social outcomes remain more common than CIEs.

More generally, countries highlight broader constraints that affect all types of CIEs, covering both the social outcomes of ALMPs and more traditional employment outcomes. These include limited institutional and administrative capacity (e.g. Bulgaria, Costa Rica, Czechia, Greece, Iceland, Latvia, Portugal, Romania, Slovak Republic, Slovenia), shortages of staff with necessary analytical skills (e.g. Austria, Greece, New Zealand, Romania, Sweden), and financial limitations that restrict the scope or regularity of evaluations (e.g. Costa Rica, Iceland, Italy, Latvia, Romania, Slovenia). Technical barriers, related to data availability, linkage, documentation and timeliness also affect all CIEs, although considerable progress has been made over time in these areas (OECD/European Commission, 2025^[26]).¹⁶ Ethical and legal constraints, as well as the general difficulty of conducting RCTs, further limit countries' ability to generate robust evidence (e.g. Denmark, Finland, Norway, Switzerland, United Kingdom).

Additional higher-level constraints arise from the lack of long-term organisational commitment to rigorous evaluation, alongside difficulties to co-ordinate efforts across different parts of the relevant institutions or between different stakeholders (public agencies, private providers, employers and academia), who often operate under different objectives, budgets and resource conditions. Finally, lack of political will to share data or support evaluations can impede progress, particularly where evidence might lead to politically sensitive conclusions or perceptions of efficiency of involved institutions. Having a clear and coherent evidence-generation strategy, combined with proactive engagement with policymakers to ensure that evaluations address relevant policy questions, can help address these challenges and support sustained commitments to rigorous evaluation (OECD/European Commission, 2025^[26]).

4.9. CIEs strengthen evidence-based policymaking

Despite many constraints, CIEs play an important role in informing the policymaking process in OECD and EU countries. In the more established area of employment outcomes, they are widely used to shape the design and delivery of ALMPs across many countries. Evaluation findings help governments identify which measures generate positive outcomes, refine programme parameters, justify scaling up effective interventions, and modify or discontinue those that underperform. In several countries, CIEs guide

decisions on pilots and experimental programmes, helping determine whether a particular programme should be expanded, adjusted, or discontinued (e.g. France, Switzerland). In Finland the results of impact evaluations are integrated directly into the assessment of new legislation, where regulatory proposals must include an analysis of expected effects drawing on previous ALMP evaluation research.

Countries also use CIE results to support dissemination of robust evidence, helping to sustain stakeholder engagement and support for ALMPs. Findings are disseminated internally within PES or ministries, and externally to partners, training providers, and advisory bodies to inform programme discussions and strategic decisions (e.g. Belgium, Czechia, France, Ireland, United Kingdom). In Germany, CIE results are used extensively for policy advice and formal consultations, informing ministries, parliamentary committees, and representatives of federal states through reports, lectures, panel discussions, responses to enquiries and expert meetings.

CIEs frequently inform decisions about budget allocation and funding prioritisation. Evidence on effectiveness is used to guide resources toward high-performing measures, justify continued or additional financing, or recalibrate expenditure across ALMP types (e.g. Bulgaria, Canada, Denmark, Ireland, Italy, Lithuania, Norway, Romania, United Kingdom). In New Zealand, evaluations support institutional accountability, with systematic reporting on the effectiveness of ALMP expenditure. In Denmark, robust CIE evidence underpins the effectiveness assumptions used in budget scoring, and in its absence, a zero impact is assumed.

In a few cases, however, the use of CIE evidence remains limited. Some countries face challenges in using CIEs effectively in policy decisions. As evaluations typically rely on extensive longitudinal data, the results often become available only after considerable delay, providing a historical perspective that may no longer reflect current labour market conditions, reducing the relevance of the findings. In some countries, impact evaluations are used only to a limited extent, mainly within EU-funded projects, where funding is typically tied to monitoring and evaluation requirements, rather than being applied systematically across the policy cycle.

5

Cost-benefit analysis of active labour market policies

Rigorous CIEs are crucial to determine which ALMPs work and for whom. However, evidence on effectiveness alone is not sufficient to determine whether these interventions represent good value for money. Even where ALMPs are effective in improving participants' outcomes and generating benefits, their cost-effectiveness depends on the magnitude of these benefits relative to the resources required to achieve them. Policies with modest employment effects may be cost-effective if they are inexpensive to deliver, whereas an intervention with larger impacts may represent poor value if its costs are high. Costs and benefits can also vary across target groups, reflecting both heterogeneous returns to participation and differences in the costs of providing ALMPs to different groups of jobseekers. Indeed, successful labour market integration of groups furthest from the labour market often requires more intensive and costly support than for those who are closer to the labour market. Moreover, the cost-benefit balance evolves over time, with costs typically incurred upfront while benefits materialise only later.

CBA provides an instrument for assessing whether policies deliver value for money. By expressing both costs and benefits in monetary terms, CBA helps identify policies generating the highest returns and supports informed decisions about the efficient allocation of public resources. This is particularly relevant in a context of tightening fiscal constraints, competing expenditure priorities and increased demand for accountability.

In practice, however, the application of CBA to ALMPs remains uneven across OECD countries. In many countries, CBAs are conducted only occasionally and the methodological approaches adopted vary considerably, ranging from relatively simple comparisons of programme costs and participant outcomes to rigorous counterfactual CBAs that estimate the causal impact of participation on a comprehensive set of costs and benefits.

This variation partly reflects the substantial data requirements involved. While the costs of delivering ALMPs are not always straightforward to measure, they are conceptually easier to define than the associated benefits. These include direct costs, such as payments to training providers or the value of wage subsidies, as well as indirect costs incurred by PES to design, manage and evaluate ALMPs. Benefits, in contrast, are more challenging to identify and quantify. Beyond increased earnings, higher tax revenues and reduced unemployment benefit payments, ALMPs may generate broader social outcomes, including reduced reliance on social assistance, improvements in health, reductions in crime and gains in motivation, confidence and well-being. Such outcomes are often central to the objectives of certain ALMPs – particularly those targeting jobseekers furthest from the labour market who face multiple and complex barriers – but are inherently more difficult to measure and monetise.

This section reviews the extent to which PES across the OECD undertake CBA of ALMPs and the approaches they adopt. It also examines the principal challenges and barriers countries encounter and discusses the data requirements necessary to conduct a comprehensive CBA.

5.1. Different approaches enable to put the costs of an intervention in relation to its benefits

Different approaches can be used to relate the costs and benefits of participating in an ALMP.¹⁷ One common approach, particularly in the academic literature on the impact evaluation of ALMPs, is cost-effectiveness analysis (CEA). In a CEA, the costs of an intervention are put in relation to a single, clearly defined outcome. For example, if an ALMP aims to increase employment, a CEA would relate the estimated number of additional jobs created to the cost of delivering the intervention. The main advantage of this approach is that it allows for straightforward comparisons across interventions in terms of their effectiveness in improving a common outcome. However, by focusing on a single outcome, CEA does not capture the broader range of effects that an ALMP may generate and may therefore provide only a partial estimate of its overall net benefits (Riegg Cellini and Edwin Kee, 2015^[49]). For example, if an ALMP affects well-being or health in addition to employment probabilities, failing to account for these effects is likely to understate its true net benefits and its total cost-effectiveness.

In contrast, CBA adopts a broader perspective. It considers a wider range of monetised costs and benefits associated with participation. These may include increased earnings, higher tax revenues and social security contributions, as well as reductions in the receipt of unemployment or social assistance benefits. By incorporating multiple components, CBA offers a more comprehensive assessment of policy returns. This broader perspective is particularly relevant for ALMPs that pursue social objectives in addition to improving labour market outcomes.

Importantly, both approaches rely on credible estimates of the impact of the policy – obtained from rigorous CIEs – on the outcomes that enter the calculation of costs and benefits. As discussed in Section 4, CIEs make it possible to determine the extent to which observed changes in outcomes can be attributed to the policy itself, rather than to confounding factors. Without robust and plausible causal estimates, neither cost-effectiveness nor cost-benefit analysis are informative.

The results of CEAs and CBAs can also be presented in different ways. While it is sometimes useful to aggregate all costs and benefits into a single measure of net benefits, in other cases it may be preferable to express results in terms of return on investment (ROI), calculated as the ratio of net benefits to total costs. This allows the results to be interpreted as the return generated per unit of currency invested (e.g. per EUR).

5.2. Impact evaluations of ALMPs use both CEA and CBA

In practice, there is a continuum between CEA and CBA and evaluations of the cost-effectiveness of ALMPs span a wide range of methodological approaches along this spectrum. This variation reflects, in part, the analytical complexity involved. A comprehensive CBA requires evaluators to make a series of methodological choices, including which cost and benefit components to incorporate, how to account for deadweight, substitution and other general equilibrium effects, and which perspective to adopt, whether individual, fiscal or societal (see Box A B.6). At the same time, differences in the quality and scope of CBAs are also shaped by data availability, which can substantially constrain the range of outcomes that can be reliably included.

Some CIEs assess the cost-effectiveness of ALMPs using calculations that are similar in spirit to a CEA. As discussed above, these approaches typically relate programme costs to one or a small number of specific outcomes. For example, Sarvimäki and Hämäläinen (2016^[50]) analyse a reform affecting the content of individual action plans for immigrants in Finland and relate the costs of the reform to its effects on earnings and benefit receipt. Cahuc, Carcillo and Le Barbanchon (2018^[51]) evaluate a hiring credit programme in France and calculate the cost per job created. Bobonis et al. (2022^[52]) analyse an intensive

employment support programme in Canada and use tax records to incorporate fiscal benefits arising from increased earnings and reduced social transfers. These studies tend to prioritise the identification of causal impacts and typically adopt a relatively narrow definition of costs and benefits.

Other CBAs adopt a more comprehensive approach, seeking to relate programme costs to a broader range of benefits. For example, the evaluation of the Kickstart Scheme – a subsidised employment programme in the UK – incorporates not only the administrative and operational costs of the programme and participants' earnings gains, but also changes in tax revenues, travel costs and healthcare expenditure (DWP, 2024^[53]). Similarly, a recent impact evaluation conducted in Slovenia draws on rich administrative data linked across multiple registers to estimate net benefits of four ALMPs (see Box A B.7). The analysis combines individual-level data on programme costs, changes in earnings, social security contributions, unemployment benefit receipt and other social transfers and tax payments to analyse the impact of the four ALMPs – classroom training, on-the-job training, wage subsidies and public works – on net benefits. (OECD, 2025^[54]).

When not all relevant outcomes are directly observed in the administrative data available to evaluators, they can, in some cases, be approximated using indirect methods. For example, Behaghel, Crépon and Gurgand (2014^[55]) compare public and private provision of counselling services for jobseekers in France. As they do not have access to detailed data on actual unemployment benefit receipt, they approximate these amounts using the number of days jobseekers spend in unemployment. This allows them to relate the costs of counselling to estimated reductions in benefit payments. Similarly, the CIE and CBA of the second phase of the French programme *Territoires zéro chômeur de longue durée* (Batut et al., 2025^[56]), targeted at the long-term unemployed, address data gaps through modelling. Given the absence of detailed individual-level information on social benefit receipt and tax payments, the authors estimate the programme's impact on these outcomes using the TAXIPP social-fiscal microsimulation model. Overall, although the scope and comprehensiveness of CBAs of ALMPs vary across studies, they reflect a shared objective of moving beyond single-outcome metrics towards a more comprehensive assessment of policy returns.

5.3. OECD and EU countries use CBA for ALMPs to varying extents

Across OECD and EU countries, the use of CBA of ALMPs varies markedly, both in terms of frequency and the stage in the policy cycle at which it is applied. Figure 9 shows that most countries report conducting CBA ex post, assessing the costs and benefits of policies after implementation. In a smaller number of cases, CBA is also used ex ante, either to estimate the expected net benefits of proposed interventions or to inform adjustments to existing programmes. However, no country reports relying exclusively on ex ante CBA. This reflects the fact that, as discussed in the previous section, CBAs of ALMPs are often embedded within CIEs that rely on data collected during and after policy implementation.

There is also considerable variation in how frequently CBAs are undertaken. In most countries, CBA is conducted only occasionally, typically on an ad hoc basis and when deemed necessary or feasible. Only a small number of countries indicate that they never conduct CBA. At the other end of the spectrum, a limited group report carrying out CBAs routinely, often as a standard component of impact evaluations. In some cases (e.g., in France), the requirement to conduct CBA is anchored in legislation or embedded within formal evaluation frameworks, contributing to a more systematic and institutionalised use of CBA.

Given the range of methodological choices involved in conducting a CBA, the existence of a clear analytical framework or set of guidelines can support evaluators and improve comparability across studies. Around half of responding countries report having a framework in place to guide CBA (Figure 10). In most cases, these are general appraisal frameworks designed to assess public investments more broadly, and in some cases social investments more specifically (also named social CBA). Although not tailored to employment policy, such frameworks can be applied to ALMPs. For example, the European Commission's Guide to

Cost-Benefit Analysis of Investment Projects (European Commission, 2015^[57]) provides practical guidance on project appraisal, including the identification, valuation and discounting of costs and benefits, as well as the treatment of externalities. However, while general guidance is useful, conducting CBA of ALMPs involves considerations that are specific to labour market interventions, such as the valuation of employment outcomes and of substitution and deadweight effects. Only a limited number of countries report having dedicated frameworks for the appraisal of employment policies that can be applied directly in this context.

Figure 9. Many countries conduct CBA only occasionally and primarily ex post

Frequency of CBAs (columns) and stage of the policy cycle at which they are undertaken (rows)

Stage	Frequency					
		Never	Rarely	Occasionally	Often	Routinely
	Ex-post		SVN	AUS, AUT, CHL, CZE, FIN, DEU, HUN, IRL, NZL, SVK, SWE	NOR	CAN, POL
	Ex-post and ex-ante			COL, CHE, NLD	FRA, GBR	DNK
	Other or missing	BGR, GRC, HRV, ISL, TUR	EST, LTU, LUX, LVA	ITA		

Note: The table presents countries' responses to the question "How regularly are CBAs of ALMPs conducted in your country, and at what stage?". With respect to stage, the category "Other or missing" refers to cases where information on the stage is missing or where the stage varies substantially, is not clearly defined, or does not fall clearly into either ex-ante or ex-post categories.

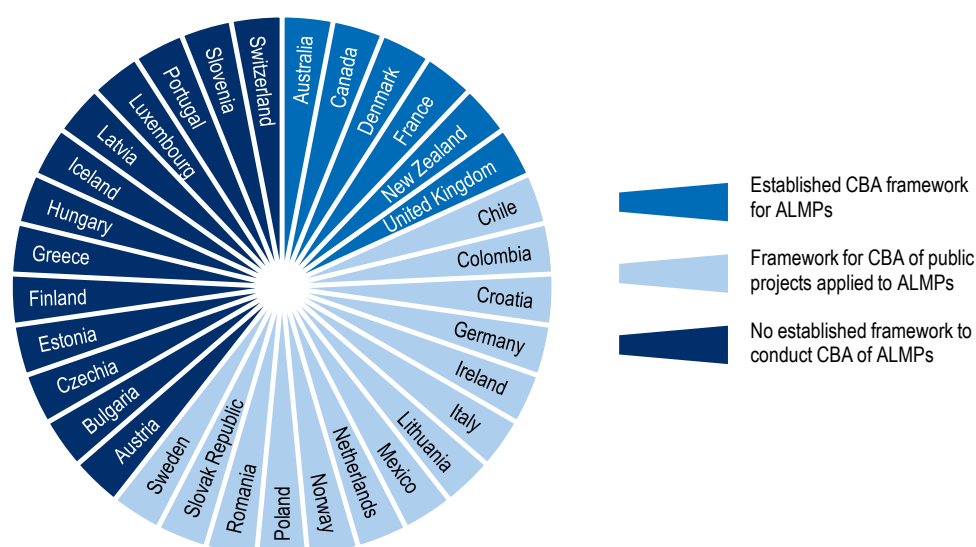
Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

The Danish Socio-Economic Investment Model (Socioøkonomisk Investeringsmodel, SØM) provides an example of an operational tool designed to support CBA (Ministry of Social Affairs and Housing, 2024^[58]). The model consists of two main components. The first is a knowledge database compiling evidence from CIEs and CBAs of social policies, which is used to inform and calibrate the parameters applied in the model. The second component is the model itself, which generates estimates of the net benefits of a given social investment based on selected parameters, target group characteristics and explicit assumptions. While the tool is designed for social policies more broadly, it will be extended from 2026 onwards to cover employment policies specifically. Another example is the framework developed by the United Kingdom's Department for Work and Pensions (DWP) which provides guidance on estimating the social impacts of employment programmes implemented by the department (Fujiwara, 2010^[59]). The comprehensive framework discusses the range of labour market and social outcomes that may be affected by employment policies and provide guidance on how to account for general equilibrium effects and monetise non-monetary outcomes.

Figure 10 also shows that a significant share of responding countries does not have a specific framework in place to guide CBA. It is important to stress that the absence of a dedicated framework does not prevent countries from conducting CBAs. In several cases, CBAs are still undertaken as part of CIEs of ALMPs following established evaluation methodologies and drawing on available data. However, without a common framework, the practical implementation of CBA may vary across studies, limiting comparability and reducing the potential for systematic and consistent use of CBA to guide investments into ALMPs.

Figure 10. Only few countries have dedicated frameworks for CBA of ALMPs

Availability of frameworks to guide CBA, by country/region.



Note: Categories are coded based on open text answers. Belgium, Costa Rica, Japan and Korea did not respond.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

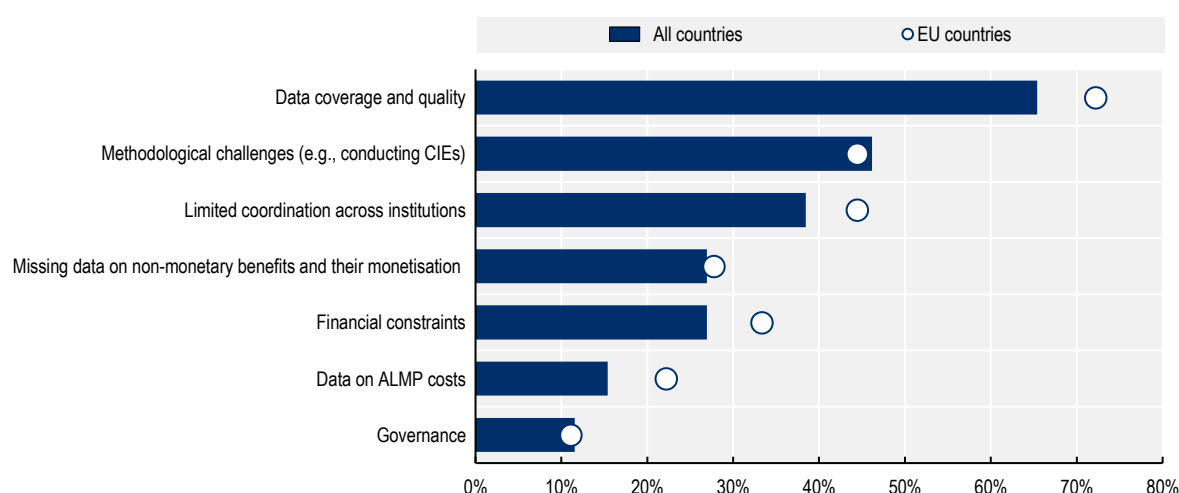
5.4. Countries encounter various challenges when conducting CBA

Countries report a range of challenges in conducting CBA that either limit their ability to conduct such analyses or prevent them altogether (Figure 11). Among responding countries, data-related constraints are the most frequently cited barrier, reported by around 65% of the countries. Conducting a comprehensive CBA requires detailed information on multiple cost and benefit components, which often entails linking administrative datasets held by different institutions within the country and working with a broader set of variables than those typically used in CIEs. Reported challenges include incomplete or missing data on key outcome variables, including both non-monetary and monetary outcomes such as tax revenues and social security contributions. Countries also highlight limited access to linked datasets and difficulties in combining administrative registers, often due to privacy or data protection regulations. These constraints reduce the ability to track individuals over time and to follow transitions from unemployment into employment. Estimating fiscal returns is particularly challenging where employment and tax records cannot be linked. More broadly, the responses underscore that the integration of different data sources for the purpose of conducting CBAs is technically demanding and resource intensive.

Within the broader category of data-related challenges, two specific barriers are mentioned particularly often, although other countries may also face these constraints and have reported them implicitly under the more general heading of data coverage and quality. First, 27% of responding countries highlight the lack of data on non-monetary benefits and the additional difficulty of monetising such outcomes in order to incorporate them into a CBA. While social and behavioural effects are often recognised, they must be expressed in monetary terms and brought onto a common scale with other cost and benefit items, which presents substantial methodological challenges. Second, 15% of respondents report difficulties in obtaining accurate and comprehensive cost data. This includes challenges in measuring not only direct programme costs but also indirect and administrative expenditures, as well as in allocating general costs to specific ALMPs. Issues related to cost measurement and the monetisation of non-monetary benefits are discussed in the following sections.

Figure 11. Data-related challenges are the most cited barrier to conduct CBA

Share of responding countries citing specific challenges in conducting CBA



Note: Challenges coded based on open text answers from 26 country responses and 18 EU country responses. Multiple answers possible.
Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Beyond data constraints, countries report institutional, methodological and governance challenges. Limited analytical capacity and a shortage of specialised staff are frequently mentioned, often compounded by financial constraints. Methodological challenges, including the estimation of credible causal effects, are also cited. Although these issues are not unique to CBA and apply more broadly to CIEs, they directly affect the reliability of estimated net benefits. In addition to these general challenges, some countries identify challenges that are more specific to CBA, notably the difficulty of accounting for externalities such as substitution effects (SEO - economisch onderzoek, 2024^[60]). These effects are central to determining the extent to which employment gains can be attributed to the policy rather than to reallocation within the labour market. Assumptions regarding substitution and displacement can substantially influence estimated net benefits, particularly from a taxpayer or societal perspective. However, such effects are difficult to measure and are rarely incorporated into CIEs. Finally, several countries point to governance and organisational constraints, including limited coordination across institutions and the possibility that CBA findings may not align with prevailing political priorities related to ALMPs.

5.5. The availability and granularity of ALMP cost data varies across countries

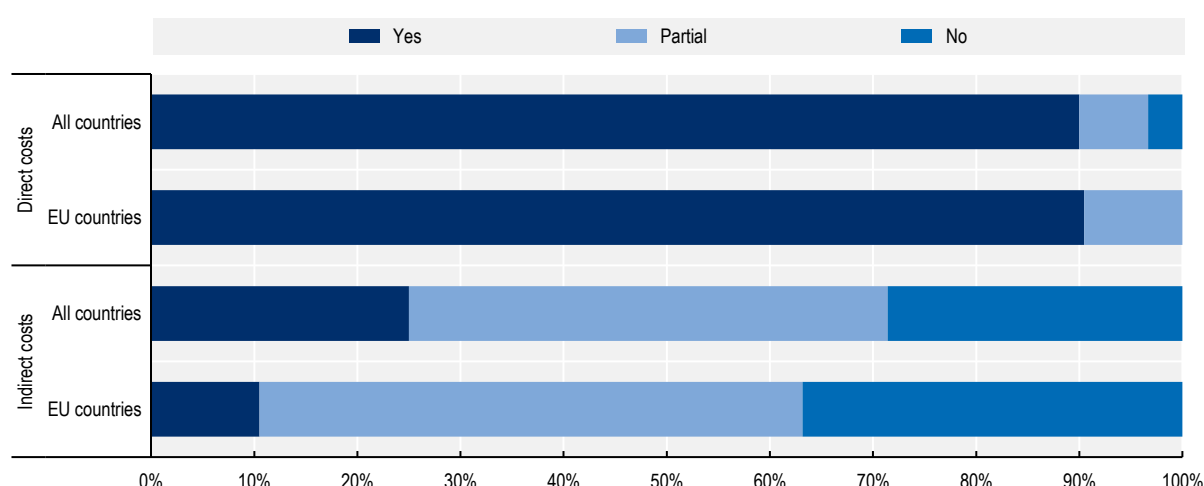
Data on the costs of ALMPs are essential for conducting CBA. ALMP costs can be broadly divided into direct and indirect costs of delivering ALMPs. Direct costs are those directly associated with individual participation, such as the value of a wage subsidy or payments to training providers (e.g., for trainers' salaries). These costs typically vary in proportion to the number of participants. Indirect costs, in contrast, capture the broader expenditure associated with designing, running, monitoring and evaluating programmes. From a counterfactual perspective, cost information is required not only for programme participants but also, where relevant, for comparable non-participants, who may engage in alternative measures which also generate costs.

Direct cost data are available in most countries (Figure 12). Around 97% of the responding countries report that such information is fully or partially accessible. However, the level of granularity varies considerably. Only around one in five countries indicate that direct costs can be disaggregated at the level of individual participants. More commonly, countries report total expenditure for a specific ALMP, which is then divided

by the number of participants to derive average costs per participant. In some cases, individual-level cost data are available for certain ALMPs, such as wage subsidies, while for other policies costs are recorded only at an aggregate level or disaggregated by broad socio-demographic categories, such as age or gender. The degree of detail often depends on programme design and financing arrangements. Where ALMPs are externally funded (e.g., through resources provided by the European Union), reporting requirements tend to result in more detailed cost data.

Figure 12. Direct ALMP costs are generally more widely available than indirect costs

Share of responding countries indicating different levels of availability of direct and indirect cost data



Note: Shares calculated based on 30 replies for direct and 28 replies for indirect costs for all countries and 25 for EU countries.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

In contrast, indirect costs are less widely available and only sporadically incorporated into CBA. Only a minority of responding countries report having indirect cost data that can be clearly assigned to a specific ALMP, for example where ALMPs are contracted out to external providers and direct and indirect costs are reported separately. A key difficulty lies in the allocation of shared administrative costs. Employment counsellors, for example, work across multiple ALMPs, making it difficult to attribute their wage costs to a specific policy, let alone to individual participants. To address this, some countries have developed cost allocation models. These range from relatively simple approaches, such as distributing total administrative expenditure across programmes according to their relative weight in overall ALMP spending, to more sophisticated models that estimate service-specific costs, for example by using counsellor time stamp data. While such approaches improve the plausibility of cost attribution, they also increase analytical complexity. Overall, however, reliable and comprehensive information on indirect costs appears more limited than direct costs, making their systematic inclusion in CBA more challenging.

5.6. Data on primary outcomes are central to conduct CBA

Primary outcomes are those most directly affected by participation in ALMPs and are typically included in CIEs. Among these, gross earnings account for a substantial share of measured benefits from an individual perspective as higher earnings increase participants' disposable income. At the same time, increased earnings directly affect fiscal returns, as income taxes are generally levied as a share of earnings.

From a societal perspective, the interpretation of earnings effects is less straightforward. A common simplifying assumption is that any additional unit of earnings accrued by participants represents a

corresponding gain for society, net of substitution and deadweight effects. However, what is ultimately relevant from a societal perspective is the additional output generated in the economy as a result of the employment created by the ALMP (Fujiwara, 2010^[59]). Since direct data on output at the individual level are typically unavailable, evaluators rely on assumptions to approximate this value. Under standard economic assumptions of a competitive labour market, the marginal product of labour equals its marginal cost. In a simplified framework in which labour is the only production factor, this implies that the value of additional output can be proxied by the amount employers pay to compensate labour, that is gross earnings plus employer social contributions.¹⁸

In most OECD countries, individual-level earnings data are available, although coverage and quality may vary. Indeed, earnings are among the primary labour market outcomes assessed in counterfactual impact evaluations alongside employment probabilities. Using earnings data in CIEs and CBAs often requires linking information on ALMP participation, usually held by public employment services, with earnings registers typically maintained by labour ministries or statistical offices.

Unemployment benefit receipt constitutes another key outcome affecting net benefits. From an individual perspective, benefit payments represent income support that is lost upon entry into employment. From a fiscal perspective, however, reduced benefit receipt generates savings for the public budget. From a societal perspective, unemployment benefits are generally treated as transfer payments, as they redistribute resources between actors within society (i.e., from taxpayers to unemployed individuals) and therefore cancel out in aggregate terms. Data on unemployment benefit receipt are usually readily available, as they are administered often by public employment services or labour ministries.

Social contributions also play an important role in CBA. From an individual perspective, employee social contributions reduce net earnings and therefore lower individual net benefits of ALMP participation. From a fiscal perspective, both employee and employer contributions constitute revenues for the social security system and can be seen as benefits to the taxpayer.¹⁹ The availability of data on social contributions varies from country to country. While employee contributions are sometimes directly recorded in employment or earnings registers, employer contributions are less frequently available in administrative datasets. Where they are not observed, both can be calculated using statutory contribution rates and reported earnings.

Unemployment benefit receipt constitutes another key outcome affecting net benefits. From an individual perspective, benefit payments represent income support that is lost upon entry into employment. From a fiscal perspective, however, reduced benefit receipt generates savings for the public budget. From a societal perspective, unemployment benefits are generally treated as transfer payments, as they redistribute resources between actors within society (i.e., from taxpayers to unemployed individuals) and therefore cancel out in aggregate terms. Data on unemployment benefit receipt are usually readily available, as they are administered often by public employment services or labour ministries.

Finally, income tax payments, while neutral from a societal perspective as transfer payments, are relevant for both individual and fiscal perspectives. They represent a cost to individuals and a revenue for the public budget. Access to individual-level tax data is often more challenging than access to employment or benefit registers. Where tax records can be directly linked to employment and unemployment data, it is possible to estimate the impact of ALMP participation on tax revenues directly. In the absence of such data, tax payments are typically simulated using observed earnings changes and existing tax–benefit microsimulation models (see, e.g., Batut et al. (2025^[56])).

5.7. Data on secondary outcomes are essential complements

Where data permit, CBAs can be further strengthened by incorporating secondary outcomes. Secondary outcomes are those that, while highly relevant for assessing overall net benefits, are either indirectly affected by ALMP participation or are less frequently captured in standard CIEs. They encompass both

monetary outcomes, such as changes in social assistance receipt and other social transfers, childcare expenditure and transportation costs, and non-monetary outcomes, including improvements in health, reductions in crime and gains in skills. As discussed in earlier sections, social outcomes are particularly important in this regard, as ALMPs are increasingly designed to address not only employment barriers but also wider social challenges, particularly for jobseekers furthest from the labour market who face multiple and complex barriers. A comprehensive assessment of costs and benefits therefore requires systematic consideration of these secondary outcomes to ensure that the evaluation reflects the full range of policy objectives.

A key issue in CBA is the monetisation of non-monetary secondary outcomes. To estimate net benefits, all costs and benefits must be expressed on a common monetary scale. This is straightforward for outcomes such as social transfers and childcare costs, which are already expressed in currency units. In contrast, valuing changes in outcomes for which there is no clear market price – such as health, crime and skills – is more complex.²⁰ One standard economic approach is the concept of willingness to pay, whereby the value of an outcome is measured by the amount an individual would be willing to pay to obtain it. In this sense, willingness to pay reflects the subjective monetary value individuals assign to improvements to a specific non-monetary outcome such as health, well-being or skills. In practice, however, eliciting reliable estimates of willingness to pay for non-monetary outcomes can be challenging.

When focusing specifically on health, a widely established approach is the use of quality-adjusted life years (QALYs), which measure the value of health outcomes by combining length and quality of additional years of life. Specifically, one QALY represents one additional year lived in perfect health. Once the impact of a policy on QALYs has been estimated, it can be monetised using standard reference values. For example, estimates for France suggest values in the range of EUR 150 000 to EUR 200 000 per QALY (Téhard et al., 2020^[61]), while other CBA guidelines recommend using values between EUR 50 000 and EUR 100 000, complemented by sensitivity analyses with values between EUR 20 000 and EUR 100 000 (Koopmans et al., 2016^[62]). It is important to note that these benchmark values can vary by age and other characteristics. A related concept is wellbeing-adjusted life years (WALYs), which extend the QALY framework beyond health to incorporate broader dimensions of well-being. Although such approaches remain relatively uncommon in CBA of ALMPs, they illustrate possible ways for integrating social outcomes more systematically into CBA frameworks.

Another approach to monetising health outcomes is to focus on indicators that are already expressed in monetary terms, such as healthcare utilisation costs, or on outcomes that can be readily valued, such as medical prescriptions and doctors' consultations (see OECD (2025^[63]) for an example). This approach, however, comes with important caveats. First, depending on the scope and quality of the data, healthcare expenditure may not fully capture the underlying change in health status. For example, ALMP participants may experience improvements in health relative to comparable non-participants that are not fully reflected in reduced healthcare costs. Second, health data are often difficult to access and to link with employment and administrative registers due to data protection constraints. To overcome this issue, a recent counterfactual impact evaluation conducted under Employment and Social Development Canada uses secondary data on the distribution of healthcare costs by income quintile to approximate the impact of employment programmes, through increased earnings, on health outcomes (Mercier et al., 2024^[64]).

Across OECD countries, the inclusion of non-monetary benefits and costs in CBAs remains limited, reflecting the methodological and data constraints discussed in the previous section. In addition, most countries lack a systematic framework for incorporating non-monetary outcomes into CBA. Many countries report that such impacts are either not estimated at all or are considered only qualitatively. Where CBAs are undertaken, the focus tends to be on outcomes that can be readily expressed in monetary terms, while broader social effects are addressed descriptively. In some cases, qualitative methods, including interviews with participants, are used to explore how improvements in motivation, well-being or skills may contribute to overall ALMP cost-effectiveness.

Beyond non-monetary elements, secondary outcomes also include additional monetary components, such as social transfers received by individuals, including social assistance, parental benefits and child allowances. Incorporating these elements into CBA can provide a more comprehensive picture of the cost-effectiveness of ALMPs. Linking such data to employment and unemployment registers, however, can be challenging. In many countries, social benefits are administered at regional or municipal level, and data sharing with central authorities is limited. Where information is shared, it often consists of aggregate data for reporting purposes, which restricts the availability of individual-level data at central level for linkage with employment and unemployment registers.

An additional category of secondary outcomes relates to in-work costs and benefits that are not captured by gross earnings. These may include employer-provided fringe benefits, such as contributions to transport costs or company cars, as well as costs borne by individuals, including commuting expenses not reimbursed by employers and childcare costs. Depending on the perspective adopted in the CBA, incorporating these elements can be important, as they may constitute a non-negligible share of the overall costs and benefits associated with employment transitions.

5.8. Net benefits of ALMP participation results from aggregating costs, primary outcomes and secondary outcomes

Once all direct and indirect costs, as well as primary and secondary outcomes have been expressed on a common monetary scale, they can be aggregated to derive a measure of net benefits. The aggregation depends on the perspective adopted, as discussed in Box A B.6. From an individual perspective, increases in earnings and fringe benefits constitute gains, while taxes and social contributions reduce net benefits. From a fiscal perspective, taxes and social contributions are revenues, whereas benefit payments and programme expenditure are costs. From a societal perspective, pure transfer payments cancel out, as they represent reallocations of resources within society rather than net gains or losses. For example, a reduction in unemployment benefit receipt reduces income for the individual but generates savings for the public budget. From a societal perspective, this transfer nets out, and only changes in real output or resource use are relevant.

Figure 13 illustrates the main cost and benefit components associated with ALMP participation and how they can be aggregated into net benefits. It distinguishes between a base model and an extended model. The base model represents the minimum data requirements to conduct a CBA, typically including programme costs, earnings and changes in unemployment benefits and taxes. The extended model incorporates additional elements, such as secondary social outcomes and indirect cost components, thereby enriching the analysis and allowing for a more comprehensive assessment of the cost-effectiveness of an ALMP. Even where data limitations constrain the scope of the CBA, it remains important to discuss qualitatively the likely direction and magnitude of omitted effects and to assess how their inclusion might alter overall conclusions regarding net benefits.

Figure 13 Outcomes constitute either costs or benefits depending on the perspective adopted

		Individual	Taxpayer	Society
Base	➤ Gross earnings/output	Benefit	N/A	Benefit
	➤ Social security contributions	Cost	Benefit	N/A
	➤ Unemployment benefits	Benefit	Cost	N/A
	➤ Direct ALMP costs	N/A	Cost	Cost
	➤ Tax payments	Cost	Benefit	Benefit
Extended	➤ Social outcomes (e.g., health, crime)	Benefit	Benefit	Benefit
	➤ Social benefits and other social transfers	Benefit	Cost	N/A
	➤ Additional non-wage benefits of employment (e.g., contribution to travel expenses and other fringe benefits)	Benefit	N/A	Benefit
	➤ Additional costs of employment (e.g., childcare, commuting costs)	Cost	N/A	Cost
	➤ Indirect ALMP costs	N/A	Cost	Cost

Note: The figure maps each outcome into either a cost or a benefit item, depending on the perspective adopted in the CBA (individual, taxpayer, society). It distinguishes between base and extended data requirements for conducting a CBA.

Source: Authors compilation.

6 Conclusion

Deriving credible evidence on the effectiveness and cost-effectiveness of ALMPs to guide investments into ALMPs is important across OECD and EU in the context of tightened fiscal resources. This evidence is particularly important also because different target groups require different levels of social investment and the impacts of some ALMPs may be less direct or take longer to materialise. Generating such evidence requires considering the effects and costs of ALMPs comprehensively, beyond the direct labour market effects and direct costs of policies. For example, while the primary purpose of ALMPs is to support connecting people with good jobs, these policies can have substantial benefits through their impact on participants' social outcomes as well.

ALMPs with social objectives have become an increasingly important policy tool for addressing the multiple and interrelated disadvantages faced by jobseekers furthest from the labour market and for mobilising the untapped potential of groups underrepresented in employment. By improving social outcomes such as motivation, autonomy, social inclusion, and health, these programmes can support more sustainable labour market integration, while also contributing to broader societal goals.

This paper shows that social objectives are already widely integrated into ALMP design across OECD and EU countries. Such programmes span a wide range of policy types, target groups and pursue diverse social outcomes, reflecting the highly heterogeneous nature of labour market disadvantages and the need for individualised approaches. At the same time, the paper highlights significant challenges in measuring jobseekers' social characteristics and tracking changes in social outcomes following participation in ALMPs. While data on social outcomes are available in at least some domains, linkages between unemployment registers and relevant external data capturing social characteristics and outcomes are fragmented in many countries. Systematic monitoring of social outcomes is still uncommon, and evaluation practices continue to focus predominantly on employment outcomes, with relatively few countries routinely assessing social effects of ALMPs using CIEs.

Looking ahead, a more systematic integration of social outcomes into the design, monitoring and evaluation of ALMPs will be essential to better capture full programme impacts and support informed policy choices. This will require greater clarity in defining relevant social outcomes, investment in data infrastructure and data linkages, and stronger institutional co-operation between PES and stakeholders in other policy domains. Expanding the scope of CIEs and CBA to include social outcomes can help improve comparability across interventions and support more informed decisions about resource allocation.

In addition, strengthening countries' capacity to conduct comprehensive CBAs of ALMPs requires progress on multiple fronts. First, establishing dedicated methodological frameworks that show how general CBA principles can be applied to the specific assessment of ALMPs would make these analyses more accessible and improve comparability and consistency across evaluations. Second, continued investment in data interoperability and data linkage, including building trust and cooperation among data-holding institutions, is needed to ensure that information already available across different administrative registers can be effectively leveraged to assess the full range of costs and benefits generated by ALMPs. Third, improving the systematic collection, storage and allocation of cost data, in particular with respect to indirect and administrative costs, would strengthen the reliability of cost estimates and support more robust assessments of the cost-effectiveness of ALMPs.

Together, these steps can contribute to the development of more effective, inclusive and evidence-based ALMPs that are better aligned with the complex needs of jobseekers, evolving labour market challenges, and increasing fiscal pressures.

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Annex A. Additional tables on social objectives

Table A A.1. Countries employ different set of ALMPs to reach social objectives

Types of Active Labour Market Policies (ALMPs)

Country	Public employment services and administration	Training	Employment incentives	Sheltered and supported employment and rehabilitation	Direct job creation	Start-up incentives
AUSTRALIA	✓					
AUSTRIA	✓	✓		✓		
BELGIUM (Brussels)	✓					
BELGIUM (Federal)		✓	✓			
BULGARIA	✓	✓	✓		✓	✓
CHILE	✓	✓	✓		✓	✓
COLOMBIA	✓		✓			
COSTA RICA	✓	✓	✓	✓		✓
CROATIA		✓				
CYPRUS	✓					
CZECHIA	✓	✓	✓		✓	
DENMARK				✓		
ESTONIA	✓	✓	✓	✓		✓
FINLAND	✓			✓		
FRANCE	✓	✓	✓	✓	✓	✓
GERMANY	✓	✓	✓	✓	✓	
GREECE	✓	✓	✓			✓
HUNGARY	✓	✓	✓	✓	✓	
ICELAND	✓	✓	✓	✓		
IRELAND		✓	✓	✓	✓	✓
ITALY	✓	✓	✓	✓	✓	✓
JAPAN	✓			✓		✓
KOREA	✓			✓		
LATVIA	✓	✓		✓		
LITHUANIA	✓	✓	✓	✓		
LUXEMBOURG	✓	✓		✓		
MALTA	✓	✓	✓	✓		
NETHERLANDS	✓	✓	✓	✓		
NEW ZEALAND	✓	✓	✓	✓	✓	
NORWAY	✓	✓		✓		
POLAND	✓	✓	✓	✓	✓	✓
PORTUGAL	✓	✓		✓		
ROMANIA	✓					
SLOVAK REPUBLIC	✓	✓				
SLOVENIA	✓	✓	✓	✓	✓	
SWEDEN		✓				
TURKIYE		✓		✓		
UNITED KINGDOM	✓	✓	✓			

Note: Policies are classified according to the LMP Database methodology, see the [OECD note on classification and coverage](#) or DG-EMPL Labour Market Policy Statistics [Methodology](#). Public employment services (category 1) include services related to information provision, job search assistance, job matching, referrals, counselling, case management and other frontline PES services. The table summarises responses covering multiple policies in each country.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Table A A.2. ALPMs with social objective aim at diverse groups of people

Main target groups

Country	Women	Long-term unemployed	Youth	Older workers	Migrants, refugees or ethnic minorities	Persons with disabilities	Persons with health conditions or addictions	Low skilled	Persons with care responsibilities	Living in remote areas	Experiencing housing insecurity	Formerly incarcerated	Other
AUSTRALIA	✓		✓										
AUSTRIA	✓	✓	✓	✓	✓	✓	✓	✓	✓				
BELGIUM (Brussels)		✓				✓	✓				✓	✓	✓
BELGIUM (Federal)													✓
BULGARIA	✓	✓	✓	✓	✓	✓	✓	✓		✓	✓	✓	✓
CHILE		✓											✓
COLOMBIA	✓		✓	✓	✓	✓	✓	✓	✓				✓
COSTA RICA	✓	✓	✓	✓	✓	✓		✓	✓	✓		✓	
CROATIA		✓											
CYPRUS	✓	✓	✓			✓						✓	✓
CZECHIA	✓	✓	✓	✓	✓	✓		✓	✓	✓	✓	✓	
DENMARK		✓	✓										✓
ESTONIA		✓	✓	✓	✓	✓	✓	✓				✓	✓
FINLAND		✓	✓	✓	✓	✓	✓	✓					
FRANCE	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
GERMANY		✓	✓					✓					✓
GREECE	✓	✓	✓	✓	✓	✓	✓	✓			✓	✓	✓
HUNGARY	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓			✓
ICELAND		✓	✓		✓	✓		✓		✓			
IRELAND		✓	✓	✓	✓	✓	✓	✓	✓	✓		✓	✓
ITALY	✓	✓	✓	✓	✓	✓	✓	✓	✓				✓
JAPAN			✓			✓							✓
KOREA		✓	✓										
LATVIA		✓	✓	✓	✓	✓	✓	✓	✓			✓	✓

Country	Women	Long-term unemployed	Youth	Older workers	Migrants, refugees or ethnic minorities	Persons with disabilities	Persons with health conditions or addictions	Low skilled	Persons with care responsibilities	Living in remote areas	Experiencing housing insecurity	Formerly incarcerated	Other
LITHUANIA	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
LUXEMBOURG		✓	✓	✓	✓	✓	✓						
MALTA	✓	✓	✓	✓	✓	✓	✓	✓	✓		✓	✓	✓
NETHERLANDS		✓				✓							
NEW ZEALAND	✓	✓	✓		✓	✓	✓		✓	✓			✓
NORWAY		✓	✓			✓	✓	✓					
POLAND		✓	✓	✓		✓			✓				✓
PORTUGAL		✓		✓	✓	✓	✓	✓	✓	✓	✓	✓	✓
ROMANIA	✓	✓	✓	✓	✓	✓		✓	✓		✓	✓	✓
SLOVAK REPUBLIC	✓	✓	✓	✓	✓	✓	✓	✓					
SLOVENIA		✓	✓	✓	✓	✓	✓	✓				✓	✓
SWEDEN					✓	✓	✓						
TURKIYE	✓	✓	✓		✓	✓		✓					
UNITED KINGDOM		✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓	✓

Note: The table summarises responses covering multiple policies in each country.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Table A A.3. ALMPs aim at diverse social objectives

Main social objectives

Country	Mental health	Physical health	Self-confidence and motivation	Social connections and support networks	Independence and autonomy	Other
AUSTRALIA			✓	✓		
AUSTRIA	✓		✓	✓	✓	✓
BELGIUM (Brussels)	✓	✓	✓	✓	✓	✓
BELGIUM (Federal)					✓	
BULGARIA	✓	✓	✓	✓	✓	✓
CHILE	✓		✓	✓		✓
COLOMBIA						✓
COSTA RICA			✓	✓	✓	
CROATIA			✓			
CYPRUS						✓
CZECHIA	✓		✓	✓	✓	
DENMARK	✓		✓	✓	✓	
ESTONIA	✓	✓	✓	✓	✓	
FINLAND	✓	✓	✓	✓	✓	✓
FRANCE	✓		✓	✓	✓	✓
GERMANY	✓	✓	✓	✓	✓	✓
GREECE			✓		✓	✓
HUNGARY	✓	✓	✓	✓	✓	✓
ICELAND	✓		✓	✓	✓	
IRELAND	✓		✓	✓	✓	✓
ITALY			✓	✓	✓	✓
JAPAN	✓	✓	✓	✓	✓	
KOREA	✓		✓		✓	✓
LATVIA	✓	✓	✓	✓	✓	✓
LITHUANIA	✓		✓	✓	✓	✓
LUXEMBOURG	✓	✓	✓	✓	✓	✓
MALTA			✓	✓	✓	✓
NETHERLANDS						✓
NEW ZEALAND	✓	✓	✓	✓	✓	✓
NORWAY	✓	✓	✓	✓	✓	✓
POLAND						✓
PORTUGAL	✓	✓	✓	✓	✓	✓
ROMANIA	✓		✓	✓	✓	
SLOVAK REPUBLIC			✓		✓	
SLOVENIA			✓	✓	✓	✓
SWEDEN						✓
TURKIYE	✓		✓	✓	✓	
UNITED KINGDOM	✓	✓	✓	✓	✓	

Note: The table summarises responses covering multiple policies in each country.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Annex B. In-depth country examples and methodological details

Box A B.1. Formal mechanisms supporting PES co-operation on the implementation of ALMPs with social objectives

Several countries offer good examples of setting up formal agreements, protocols and co-ordination mechanisms to strengthen PES co-operation with its partners to facilitate implementation of ALMPs with social objectives, particularly for people furthest from the labour market.

Finland: Multisectoral support for people with complex barriers

Regional co-operation agreements concluded under the Act on Multisectoral Promotion of Employment ([TYM Act, 381/2023](#)) are formal agreements between regional employment authorities, well-being services counties* providing health and social services and the Social Insurance Institution of Finland (Kela). These agreements formalise a [multisectoral support model](#), integrating services from different authorities to provide co-ordinated and individualised support to people facing significant employment barriers. This new co-operation builds on Finland's long-standing experience with testing different set-ups to promote holistic-multiprofessional approaches, including the joint service model of Labour Market Service Centres (LAFOS) for long-term unemployed people with multiple challenges and the Ohjaamo one-stop guidance centres for young people, which brings together service providers from private, public and third sector providers (OECD, 2023^[65]; OECD, 2021^[8]).

Malta: Holistic support for vulnerable groups through civil society partnerships

Jobsplus, Malta's PES, has established formal agreements with key civil society organisations, such as the Lino Spiteri Foundation (LSF), Inspire, and Richmond Foundation, to ensure the provision of tailored and holistic services that address the specific needs of vulnerable groups and their integration into the labour market. In co-operation with the LSF, Jobsplus has introduced a work-based job coaching programme for people with disabilities, combining on-the-job learning, integration and independence with job carving through continuous feedback loops that allow job tasks to evolve as individuals progress (OECD, 2026^[66]). Collaboration with non-profit social welfare organisations Caritas Malta and Oasi enables the provision of specialised services targeting vulnerable groups, including individual needs assessments, employability training integrated into rehabilitation programmes, job placements and monitoring. Formal agreements with Victim Support Malta help ensure that individuals who have experienced traumatic events receive appropriate assistance in their pathway back to employment.

Slovenia: Protocol for social and labour-market integration of Roma people

In Slovenia, a dedicated protocol governs co-operation between employment offices, centres of social work and other stakeholders to support labour and social integration of Roma people. The protocol sets out guidelines for the activities of the stakeholders to inform and motivate Roma to participate in Social Activation+ and other ALMP programmes, with the aim of strengthening social inclusion, improving employment prospects, increasing motivation and acquiring social and functional competences required

in the labour market. This initiative responds to OECD recommendations (OECD, 2016^[67]) to reinforce links between employment services and centres of social work to address long-term unemployment and better support individuals facing complex and multiple barriers to work.

Note: *The well-being services counties ([hyvinvointialue](#)) are self-governing entities established in Finland in 2023, responsible for organising health, social welfare, and rescue services, and operating separately from municipalities and central government.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Box A B.2. Specialised psychological service offered by the German PES

The Vocational Psychological Service (*Berufpsychologischer Service, BPS*) in Germany is a specialised psychological service offered by the Federal Employment Agency (*Bundesagentur für Arbeit*). The BPS provides psychological assessments, counselling, and career guidance to support individuals in various phases of their working life, such as initial career orientation, professional reorientation, and dealing with occupational changes or health-related work limitations.

The BPS is staffed by psychologists specialised in vocational psychology, who use scientifically grounded methods to help jobseekers and employees as well as their career counsellors to understand and take into account the relevant aptitudes, interests, and capacities to make informed career decisions. Their support is independent and neutral, aiming to improve vocational integration and long-term employment outcomes.

The BPS is integrated within Germany's PES system with the statutory mandate to conduct psychological assessments to the necessary extent when required. It serves as a professional advisory and diagnostic resource to enhance the effectiveness of labour market services by addressing personal and psychological factors that affect employability and career development. This integration ensures a multidisciplinary approach within the PES, addressing both labour market and personal or psychological strengths and barriers to employment.

Source: [Vocational Psychology Service | Federal Employment Agency](#) and responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Box A B.3. ALMPs with strong social focus: re-engaging and supporting groups further from the labour market

Ireland: Re-engaging the long-term unemployed within local communities

Ireland's Community Employment (CE) programme is a public works scheme that provides long-term unemployed and other disadvantaged people with training and work experience through part-time and temporary placements in jobs based within local communities. The aim of CE is to enhance the employability and mobility of disadvantaged and unemployed persons by providing occupational activity, work experience and training opportunities within their communities. It also helps long-term unemployed people to re-enter the workforce by breaking their experience of unemployment through a return-to-work routine. CE acts as a resource for communities to identify their own needs and priorities and over the years has become a vital service to communities both in remote rural areas and

areas of urban disadvantage. It has developed into a unique programme that integrates employment interventions and training for the individual with community services provision. A recent evaluation (OECD/Department of Social Protection, Ireland/EC-JRC, 2024^[3]) shows that CE not only contributes to higher long-term earnings but also reduces dependence on unemployment benefits and disability allowances.

Iceland: Supporting people with intellectual disabilities

As part of its strategy to improve employment opportunities for people with disabilities (OECD, 2025^[68]), Iceland has developed a new certified training programme “Skills at the labour market” specifically designed for people with intellectual disabilities and aimed to strengthen their readiness for employment in the open labour market. Delivered through lifelong learning centres across Iceland, the programme combines classroom-based learning with structured workplace training and leads to an official skills certificate recognised by employers. Beyond job-related competencies, the curriculum places strong emphasis on empowerment, self-confidence, workplace rights, communication, and well-being. By applying the same quality assurance framework as mainstream vocational programmes, the initiative promotes inclusion, dignity, and equal recognition of skills, while addressing both employment and broader social participation outcomes.

Individual Placement and Support (IPS): A promising approach to help people with mental illnesses

The [Individual Placement and Support](#) (IPS) combines employment support with mental health services. It helps people with severe or chronic mental health conditions to obtain and keep regular jobs in the open labour market. Instead of long pre-employment training or other measures, participants are moved rapidly into job search and placement in ordinary jobs based on their preferences, with intensive, individualised and time-unlimited in-work support, delivered by employment specialists integrated into mental health teams. The programme has shown positive results and has been applied in many countries (OECD, 2021^[4]; Drake, Bond and Becker, 2012^[69]).

In Denmark, [IPS](#) is implemented as an employment initiative in which regional psychiatric services and the municipality, typically through local job centres, collaborate to support people with mental conditions in obtaining and maintaining ordinary work or education. Initially focused on young people with mental health conditions, the IPS approach is currently being scaled up nationwide for younger cohorts, while several municipalities have also extended it to people aged over 30. This reflects growing recognition of the role of mental health-employment integration across age groups.

In New Zealand, modified [IPS-based approaches](#) are used in programmes such as “[E Ara E](#)” and “[Take charge](#)”, which target young people experiencing mild to moderate mental health issues. These programmes adopt an integrated employment and health services approach to address multiple and interconnected barriers to labour market participation. By combining individualised employment assistance with mental health support, they aim to improve both work readiness and longer-term employment sustainability.

Source: Based on responses to the questionnaire on ALMPs with social objectives, impact evaluation and cost-benefit analysis.

Box A B.4. Participation ladder methodology in the Netherlands captures levels of social participation and readiness for work

Counsellors in the Dutch PES (*UWV, Uitvoeringsinstituut Werknemersverzekeringen*) use the participation ladder methodology to assess the social situation of clients facing significant barriers to employment and monitor their progress. An initial assessment establishes the client's starting position on the ladder and is used to identify appropriate measures and define intermediate objectives. Progress along the ladder is then reviewed regularly during follow-up meetings, allowing counsellors to assess whether clients are advancing towards higher levels of social participation and work readiness.

UWV frequently contracts external providers to deliver employment services for jobseekers with complex barriers. In these cases, progress against pre-defined participation ladder benchmarks is used to reward providers for intermediate outcomes, complementing standard payment mechanisms based on employment outcomes and fee-for-service arrangements.

Table A B.1. The six steps of the participation ladder used by counsellors in the Netherlands to measure participants' social progress

Step	Activity	Description	Examples
1.	Isolated	No or little physical contact with others outside the family circle.	- Only functional contacts out of the home, such as with shop staff or social workers. - Active contacts via internet.
2.	Social contacts out of the home	Occasional social contact out of the home, but not in an organised context.	- Unorganised contact with neighbours, parents of friends of the children. Providing occasional informal care. - Irregularly visiting friends, a community centre, gym, hobby club, library, etc.
3.	Participation in organized activities	Structural participation in activities in an organized context.	- Volunteer work. - Taking courses, training to help work-ready, such as language or assertiveness training. - Practicing sports in an organized context. - Participation in a reintegration service - Participation in daytime activities - Providing structural informal care.
4.	Ready for work (<i>Unpaid work</i>)	Fit for work and: - able to start doing paid work immediately - starting to work in a trial placement - getting a short vocational training to get a certificate or diploma.	- Successfully completed the reintegration service. - Being unemployed again for economic reasons and being immediately employable. - Working via a trial placement. - Being fit for work and taking a short vocational training.
5.	Paid work with support	Paid work with support from the Employee Insurance Agency in the form of a job coach and/or wage dispensation*. Without this support, the jobseeker is not able to earn the legal minimum wage.	- Working with a job coach and/or receiving wage dispensation¹. - Use of other provisions required such as adaptations on the work floor or transportation. - Self-employed people who do not earn the legal minimum wage.
6.	Paid work	Paid work and able to earn the legal minimum wage without the support of a job coach and/or wage dispensation.	- In paid employment, possibly with accommodations required, such as adaptations on the work floor or transportation. - Self-employed people who do earn the legal minimum wage.

Note:

1. Wage dispensation (*loondispensatie*) is a financial incentive for hiring people with disabilities.

Source: (Vodopivec, 2023^[70]).

Box A B.5. Different methodological approaches are used to evaluate social outcomes of ALMPs

Randomised Controlled Trials (RCTs)

Participants in RCTs are randomly assigned to treatment and control groups, mitigating selection bias and ensuring that both groups are statistically equivalent. Comparing the outcomes of these two groups after the end of the programme enables the isolation of the programme's causal effect and allowing for the strongest causal inference. RCTs offer high internal validity but may face ethical concerns, particularly if they limit access to potentially beneficial programmes for a subset of possible beneficiaries. They are also resource-intensive, both financially and logistically. RCTs are particularly appropriate for pilot studies of new programmes, where the potential impact and feasibility need to be thoroughly assessed before wider implementation (Jacobzone et al., 2025^[23]).

Many countries have implemented RCTs to obtain credible evidence. For example, Denmark's IBBIS (Integrated Mental Health Care and Vocational Rehabilitation) projects were tested via RCTs to assess impacts on health and employment outcomes (Bjørkedal, Hoff and Eplov, 2021^[71]). In Sweden, an RCT of an early intervention for refugees measured not only employment and language skills but also psychological and social integration through follow-up surveys (Dahlberg, Egebark and Vikman, 2023^[39]).

Propensity Score Matching (PSM)

When randomisation is not possible, the PSM method helps reducing selection bias. This quasi-experimental method constructs a comparison group by matching participants and non-participants with similar observable characteristics. The matching is based on estimated propensity scores, which represent the probability of enrolling in a programme based on a wide array of characteristics, such as demographics, education, employment history, and so on.

For example, the study of the wage subsidy programme "Participation in the Labour Market" in Germany used PSM to assess the effects on health and standards of living (Bömmel et al., 2024^[30]).

Difference-in-Differences (DiD)

The DiD method estimates the causal effect by comparing changes in outcomes over time between treated and comparison groups. The core assumption of this method is that in the absence of the intervention, the average outcome for treated and control groups would have followed the same trajectory over time. If this holds, the post-intervention divergence between the two groups' trends can be attributed to the intervention.

France's evaluation of the Youth Guarantee (*Garantie Jeunes*) applied the DiD approach, exploiting programme's gradual roll-out across regions, to estimate impact on employment, autonomy and living standards (Gautié, 2018^[72]).

Regression Discontinuity Design (RDD)

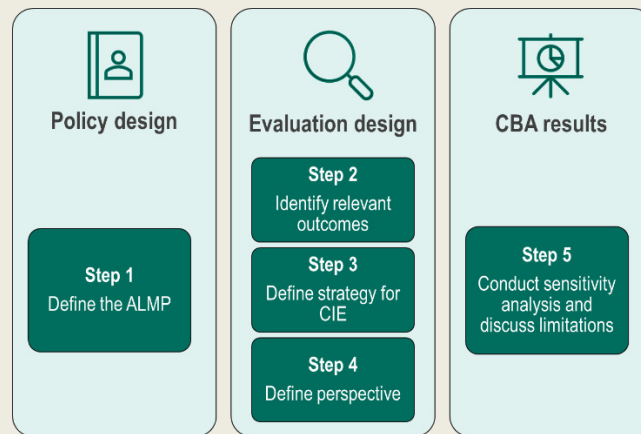
The RDD method is used when there is a predefined eligibility threshold for programme participation, e.g. based on age, income, or other characteristics. The method compares outcomes for individuals just above and below the threshold. If individuals on either side of the cutoff point are statistically similar, the estimated effect can be attributed to the result of the intervention.

The evaluation of the Youth Job Guarantee in Sweden applied the RDD approach using the age-eligibility threshold of the policy to estimate casual health effects of the programme, measured by prescribed medication or healthcare visits (Hall et al., 2024^[32]). A similar approach was used in the Dutch study evaluating the effect of a mandatory activation program on criminal behaviour, leveraging an age cutoff in policy application to identify causal effects (Stam, Knoef and Ramakers, 2024^[48]).

Source: (OECD, 2020^[22])

Box A B.6. A stylised framework to assess the cost-effectiveness of ALMPs

Conducting a CBA requires a number of analytical choices. A structured framework can help guide these decisions and ensure consistency across evaluations. When assessing the cost-effectiveness of ALMPs, the analysis can be organised around five key steps, which should be considered iteratively.



Step 1: Define the ALMP to be evaluated

The first step consists of clearly defining the ALMP that is the object of the CBA. This includes describing the programme design, policy objectives and intervention logic (inputs – activities – outputs – outcomes – impact), as well as identifying the actors involved, the target group, eligibility criteria, and the structure and duration of the ALMP. A precise definition of the policy is important as it informs all subsequent steps.

Step 2: Identify relevant outcomes

The second step is to identify the outcomes through which the ALMP may generate costs and benefits. The intervention logic can provide guidance in determining which outcomes are likely to be affected. These may include primary outcomes, such as earnings and unemployment benefit receipt, as well as secondary and social outcomes, including other social transfer receipt and health. In addition, the direct and indirect costs of the ALMP itself constitute a key component of the analysis. The data required to measure these outcomes are discussed in more detail in Sections 5.5 to 5.8. Where outcomes are non-monetary, appropriate valuation methods must be defined to express them on a common monetary scale.

Step 3: Define strategy for CIE

A CBA requires credible estimates of the causal impact of the ALMP on the selected outcomes. This

involves defining the appropriate counterfactual and estimating impacts using suitable evaluation methods (see Box A B.5). It also requires specifying the relevant alternatives against which participation in the ALMP is assessed, such as non-participation or participation in an alternative ALMP, as well as defining the time horizon of the analysis. The choice of time horizon can have a substantial influence on the results of the CBA, as costs are often incurred upfront while benefits materialise only later (Lechner, Miquel and Wunsch, 2011^[73]). Future costs and benefits should be discounted to ensure comparability over time.

More generally, this underscores the importance of choosing a time horizon that is sufficiently long to capture the benefits generated by the policy, taking into account the time required for benefits to materialise. This is particularly relevant for some ALMPs, such as training programmes designed to improve participants' skills, where benefits, even if limited in the short term, are likely to compound over time. However, data on long-term outcomes are not always available, for example, when programmes have been introduced only recently or when administrative data do not allow for extended follow-up periods. Recent research on CIEs of ALMPs has drawn on experience from the biomedical field to explore ways of approximating long-term outcomes using shorter-term (so-called surrogate) outcomes (Athey et al., 2025^[74]).

Step 4: Define the perspective(s) of the CBA

CBAs can be conducted from different perspectives, and the perspective adopted determines which costs and benefits are included.

- From an individual perspective, the analysis focuses on the returns to participation for jobseekers.
- From a government or taxpayer perspective, the focus is on value for money in fiscal terms, comparing programme costs with fiscal returns (e.g. tax revenues)
- From a societal perspective, the analysis considers the broader economic and social returns of the policy, including effects on overall output.

In some cases, it may also be relevant to consider the perspective of additional actors, such as employers, particularly for measures like wage subsidies or workplace training, where understanding employers' financial incentives to participate is important. A comprehensive CBA should consider all relevant perspectives rather than focusing on a single one, in order to capture how the ALMP affects net benefits for different actors.

Step 5: Run sensitivity checks, heterogeneity analysis and discuss limitations

The final step consists of testing the robustness of the results and assessing how estimated net benefits vary across assumptions and population groups. Sensitivity analyses should examine how results change under alternative assumptions (for a more detailed discussion, see Fujiwara (2010^[59])). For example, substitution effects – that is, cases where participants take jobs that would otherwise have been filled by other jobseekers – reduce the aggregate impact of the policy on the number of newly created jobs and therefore lower net benefits from the perspective of taxpayers and society as at large. Where data permit, heterogeneity in net benefits across participant groups should also be analysed. Importantly, targeting decisions should not be based solely on net benefit estimates, as programmes aimed at jobseekers furthest from the labour market may involve higher delivery costs and lower measured returns while addressing greater needs. The analysis should also clearly document its limitations, including which costs and benefits could not be incorporated and how their omission may affect the results.

Box A B.7. A comprehensive CBA of ALMPs in Slovenia

The results of a recent OECD evaluation of ALMPs in Slovenia, conducted with the support of the European Commission, illustrate how combining rich administrative data linked across multiple registers can enable a CBA. The analysis covers four major ALMPs in Slovenia, classroom training, on-the-job training, private-sector wage subsidies and public works. The CBA examines the costs and benefits generated by these programmes, going beyond earnings to include the receipt of unemployment benefits, social assistance and parental leave benefits, income tax payments, social contributions, and the direct costs of ALMP participation.

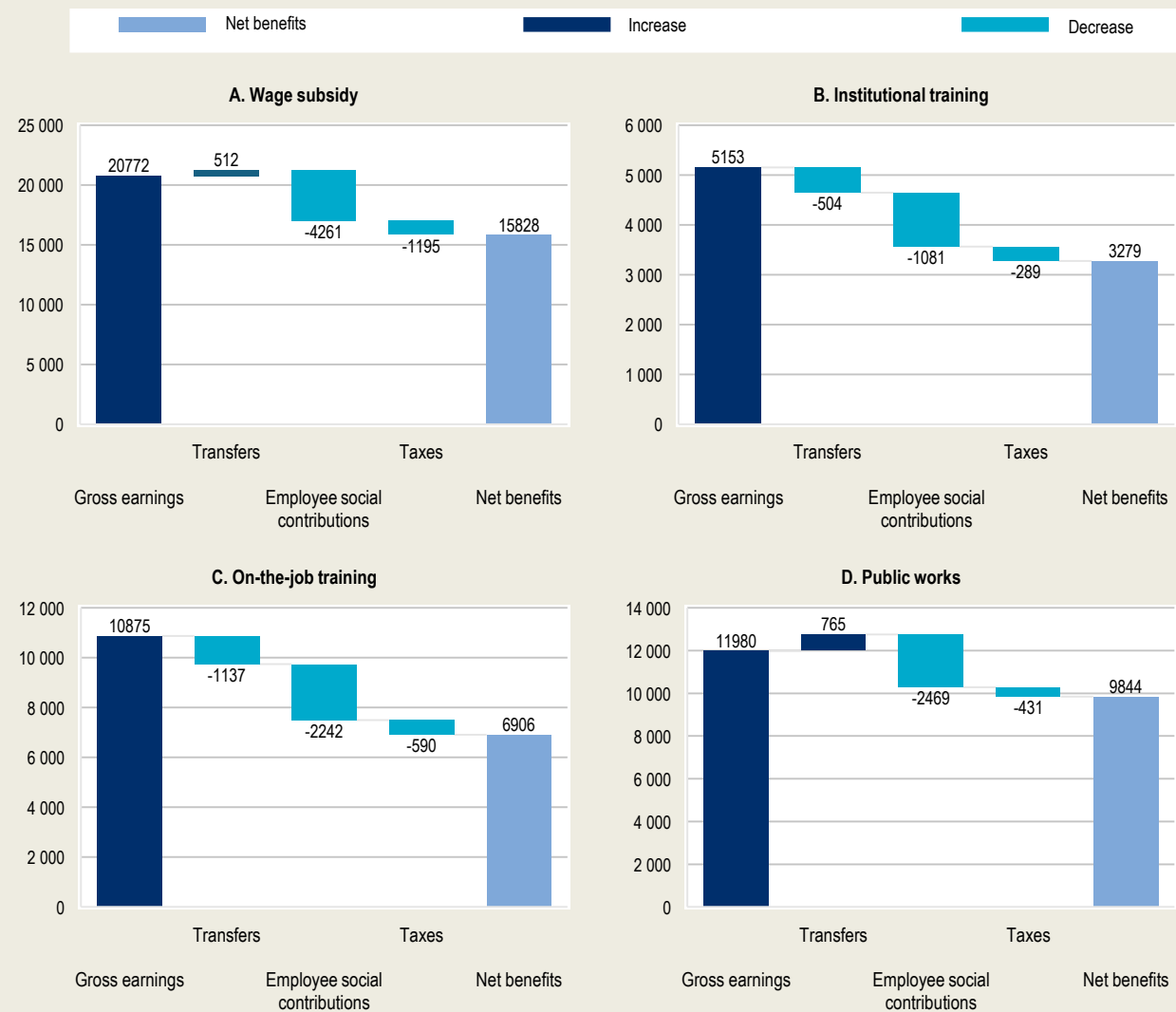
The CBA is conducted from three perspectives: that of individual participants, that of the taxpayer, and that of society as a whole. Depending on the perspective adopted, the different outcomes are aggregated into measures of net benefits. These measures are then compared between participants and comparable non-participants with similar observable characteristics to account for counterfactual outcomes over a period of up to four years following participation.

The results presented below refer to the individual perspective. Under this perspective, earnings, the receipt of unemployment benefits, social assistance and parental leave benefits (aggregated in the figure below into a single measure of transfers), income tax payments, and social contributions are included in the calculation of net benefits. ALMP costs, by contrast, are not included, as they are not borne by participants but by the public budget. The results show that, from an individual perspective, all four programmes generate positive net benefits, largely driven by higher post-programme earnings. However, the analysis also shows that participation in ALMPs not only increases earnings but also affects transfer receipt (particularly unemployment benefits and social assistance) and leads to higher social contributions and taxes paid by participants. For example, for wage subsidy schemes (see Figure A B.1, Panel A), the net benefits of participation are around 24% lower when these additional outcomes are taken into account, compared to estimates based solely on increased earnings. This highlights the importance of considering multiple outcomes when assessing the net returns to participation in ALMPs.

When the CBA is conducted from the perspective of society, additional market-wide effects are considered. The analysis shows that deadweight and substitution effects (the extent to which jobs created by the ALMPs would have been created even in the absence of the policy) can significantly reduce estimated net benefits. The CBA also investigates the sensitivity of results to alternative assumptions regarding the marginal cost of public funds and redistributive effects. The marginal costs of public funds reflect efficiency losses associated with financing ALMPs through distortionary taxation (e.g., higher income taxes that reduce work incentives). Redistributive effects account for the fact that benefits accruing to participants may generate larger welfare gains than the costs borne by taxpayers due to diminishing marginal utility of income.

Finally, when the CBA is conducted from the taxpayer perspective, net benefits tend to be lower than from the individual and societal perspectives. This is because only the share of increased earnings that translates into higher tax revenue and social security contributions is counted as a benefit, while costs include the full direct costs of ALMP provision. As a result, estimated fiscal returns four years after participation are positive for training, on-the-job training, and wage subsidies, but negative for public works, primarily due to their high costs. Overall, such comprehensive CBAs can provide valuable guidance for policymaking, particularly when public resources are limited and the cost-effectiveness of programmes needs to be assessed across multiple dimensions.

Figure A B.1. Net benefits of Slovenia's ALMPs from a participant's perspective are mostly due to higher earnings



Note: "Increase" refers to outcomes of ALMP participation that raise benefits from the perspective of individual participants, while "decrease" refers to outcomes that reduce benefits. Estimates depict the net effect of participation after accounting for counterfactual outcomes (see original source for details).

Source: OECD (2025), *Evaluating active labour market policies in Slovenia - Module 3: Cost-benefit analysis of ALMPs*, <https://www.oecd.org/content/dam/oecd/en/about/projects/technical-reports-and-presentations-dg-reform/slovenia/Module3.pdf>, Figure A A.2.

Notes

¹ This paper draws on responses to the questionnaire from 40 EU and OECD countries: Australia, Austria, Belgium, Bulgaria, Canada, Chile, Colombia, Costa Rica, Croatia, Cyprus, Czechia, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, Ireland, Italy, Japan, Korea, Latvia, Lithuania, Luxembourg, Malta, Mexico, Netherlands, New Zealand, Norway, Poland, Portugal, Romania, Slovak Republic, Slovenia, Sweden, Switzerland, Türkiye and United Kingdom. For Belgium, the responses cover federal level policies and policies in the Brussels-Capital Region.

Note by the Republic of Türkiye: The information in this document with reference to “Cyprus” relates to the southern part of the Island. There is no single authority representing both Turkish and Greek Cypriot people on the Island. Türkiye recognises the Turkish Republic of Northern Cyprus (TRNC). Until a lasting and equitable solution is found within the context of the United Nations, Türkiye shall preserve its position concerning the “Cyprus issue”.

Note by all the European Union Member States of the OECD and the European Union: The Republic of Cyprus is recognised by all members of the United Nations with the exception of Türkiye. The information in this document relates to the area under the effective control of the Government of the Republic of Cyprus.

² Public Employment Service (PES) is a public body whose main responsibility is to actively facilitate the integration of jobseekers into the labour market and which implements employment services (providing placement and related services as defined by category 1.1 in the methodology of the LMP database (see Footnote 3). In the context of this paper, PES refers to either the national level agency, the respective unit in the ministry or sub-national agencies.

³ ALMPs refer to the policies under categories 1 to 7 and include: (1) public employment services and administration, (2) training, (4) employment incentives, (5) sheltered and supported employment and rehabilitation, (6) direct job creation and (7) start-up incentives. For more details on the LMP Database and its methodology, see the [OECD note on classification and coverage](#) or DG-EMPL Labour Market Policy Statistics [Methodology](#).

⁴ This paper is based on responses to the questionnaire from 40 EU and OECD countries (see Footnote 1). As Canada, Mexico and Switzerland responded to the questionnaire but did not identify any ALMPs that would correspond to the operational definition outlined in the questionnaire (see Section 1), the data on ALMPs with social objectives presented in this section concerns answers from 37 countries. For Belgium, the responses cover federal level policies as well as policies in the Brussels-Capital Region.

⁵ People not in education, employment, or training (NEETs).

⁶ The difficulties to report information on subnational policies was expressed for example by Switzerland and Canada but may apply to many other countries with high levels of decentralisation. For example, for Belgium, the information was provided only about the federal ALMPs, and ALMPs of the PES in the Brussels-Capital Region (Actiris).

⁷ The EU Facility for Refugees in Türkiye (FRIT II) and the MAAS (Match, Attach and Sustain) project in Iceland.

⁸ The terms “social characteristics” and “social outcomes” are used in this paper to distinguish between pre- and post-intervention measurements. The same social dimensions – for example motivation to engage in employment or training, or participation in socially valuable activities – may be assessed both before and after participation in ALMPs. Measurements taken prior to programme participation are referred to as social characteristics, while those observed after participation are referred to as social outcomes, even if the underlying variables may often be the same. Where the timing of measurement is not clearly defined, the terms may be used interchangeably, depending on the context.

⁹ Administrative unemployment registers primarily capture registered unemployed individuals, typically those actively seeking work and/or receiving unemployment-related benefits. Economically inactive people who are not actively seeking employment are generally not included, unless they register with PES for specific purposes.

¹⁰ Educational trajectories of jobseekers themselves, while important and relevant, fall outside the definition of social outcomes used in this paper, as this is a very broad area that warrants a separate analysis.

¹¹ One example of such analysis, drawing on evidence from Finland (Pesola and Sarvimäki, 2024^[75]), shows that participation of adult immigrants in an integration programme improved their children’s grades, increased their educational attainment by more than a year and – two decades after arrival – led to earnings that were 42% higher than those of children whose parents narrowly missed the programme’s implementation.

¹² EU-SILC often combines administrative data with information collected directly from households through surveys for better precision and more comprehensive coverage of income sources.

¹³ For example, providers reported using the tools developed by Esher House (now known under the name [Ready Resilience](#)), an Australian behavioural science consultancy that has worked extensively with government and employment service providers on jobseeker and youth programs. The consultancy applied concepts from positive psychology, neuroscience, and behavioural economics to design assessments and brief interventions intended to improve participation, resilience, and employment outcomes in a fiscally sustainable way.

¹⁴ The results are not directly comparable as the current survey covers more countries than the survey in 2019, and several countries that participated in 2019 did not provide responses in 2025.

¹⁵ Throughout this subsection, countries mentioned in brackets refer to those countries that reported the challenges described as being among the main barriers to conducting CIEs of ALMPs focusing on social outcomes.

¹⁶ In Finland, for example, access to employment data was subject to a delay of around 18 months in 2019, whereas such information is now available on a monthly basis.

¹⁷ See OECD (2020^[76]) for a more general discussion on the cost-effectiveness of policies.

¹⁸ The assumptions regarding perfect competition and the form of the production function can be relaxed.

¹⁹ Social contributions can also be viewed as deferred payments to individuals, as they are at least partly returned in the form of pensions. In this case, they can be considered benefits to individuals rather than to taxpayers.

²⁰ Part of these effects may be captured through changes in earnings and therefore already accounted for in the CBA. For example, improvements in skills or health can translate into higher productivity and higher wages. However, not all benefits are necessarily reflected in earnings. For example, enhanced skills may generate benefits for individuals that go beyond increased labour market earnings.